

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 16-16

MAVL CAPITAL, INC., IAM & AL GROUP INC. and MAXIM OSTROVSKIY,
(Complainants)

v.

MARINE TRANSPORT LOGISTICS, INC. and DIMITRY ALPER,
(Respondents)

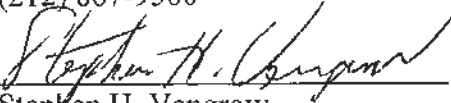
RESPONDENT MARINE TRANSPORT LOGISTICS, INC.'S
APPENDIX OF DOCUMENTS IN REPLY TO COMPLAINANTS' EXCEPTIONS TO
THE JANUARY 17, 2017 INITIAL DECISION

January 17, 2017 Initial Decision in Docket No. 16-16	"1"
Complaint filed December 12, 2013 in E.D.N.Y. 13 Civ. 7110 [Exhibits Omitted].....	"2"
January 7, 2013 Affidavit by Maxim Ostrovskiy, submitted in E.D.N.Y. 14 Civ. 7110	"3"
April 9, 2014 Affidavit by Maxim Ostrovskiy, submitted in E.D.N.Y. 14 Civ. 7110	"4"
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Transcript from May 13, 2016 Hearing, Docket No. 15-04 (pages 1-3, 40-42)	"7"

DOCKET NO. 16-16

Dated: March 2, 2017
New York, NY

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RESPONDENT MARINE TRANSPORT LOGISTIC INC.’S

APPENDIX “1”

S E R V E D

January 17, 2017

FEDERAL MARITIME COMMISSION

FEDERAL MARITIME COMMISSION

DOCKET NO. 16-16

**MAVL CAPITAL INC.,
IAM AL GROUP INC., and MAXIM OSTROVSKIY**

v.

MARINE TRANSPORT LOGISTICS, INC. and DMITRY ALPER

INITIAL DECISION PARTIALLY DISMISSING COMPLAINT¹

I. INTRODUCTION.

On August 5, 2016, complainants MAVL Capital Inc. (MAVL), IAM AL Group Inc. (IAM), and Maxim Ostrovskiy initiated this proceeding against respondents Marine Transport Logistics, Inc. (MTL) and Dmitry Alper alleging that Respondents violated sections 41102(c), 41104(3) and 41104(10) of the Shipping Act of 1984, 46 U.S.C. §§ 41102(c), 41104(3) and 41104(10), and the Commission's regulations at Part 515, in connection with certain vehicles allegedly owned by Complainants.

Complainant Ostrovskiy, a resident of Russia, is the principal of complainant MAVL, a New York corporation, and complainant IAM, an Indiana corporation. Respondent MTL is licensed by the Commission as a non-vessel-operating common carrier (NVOCC). The Complaint alleges that Alper was the director of operations of MTL (Complaint ¶ 7), an allegation that MTL admits (MTL Answer ¶ 7), but Alper denies. (Alper Answer ¶ 7.) The Complaint alleges that Alper is the alter ego of MTL, accountable for the actions of MTL. (Complaint ¶ 12.) Both MTL and Alper deny this allegation.

¹ The initial decision will become the decision of the Commission in the absence of review by the Commission. Any party may file exceptions to this decision within twenty-two days of the date of service. 46 C.F.R. § 502.227.

This Commission proceeding is not the only litigation between these parties. On December 12, 2013, Complainants filed suit against MTL, Alper, and several other persons in the United States District Court for the Eastern District of New York alleging breach of maritime contract, conversion, related causes of action under state law, and violation of the Racketeer Influenced and Corrupt Organization Act in connection with vehicles owned by Complainants, including the vehicles that are the subject of this proceeding. *MAVL Capital, Inc. v. Marine Transport Logistics, Inc., et al*, No. 13-cv-7110 (E.D.N.Y. Dec. 12, 2013) (Complaint filed). (See MTL Brief in Support of the Show Cause Order, Exhibit 2.) The New York case is still pending.

In the FMC proceeding, Complainants seek a reparation award against MTL and Alper for alleged violations of the Shipping Act in connection with a purported shipment of a 2006 Mercedes SL65, a purported shipment of a 2011 Porsche Panamera, and a purported shipment of three motorcycles – a 2004 Harley Davidson FXDXI, a 2007 Harley Davidson FXD, and a 2000 Harley Davidson XL883. Complainants allege they intended to ship these vehicles overseas by water from the United States, but were prevented from doing so by the conduct of Respondents. Complainants allege that they have sustained and continue to sustain direct injuries in excess of \$180,000 due to the alleged conduct. (Complaint Part VII.)

On August 11, 2016, the Secretary of the Commission issued a Notice of Filing of Complaint and Assignment assigning this proceeding to the Office of the Administrative Law Judges. On August 16, 2016, a Notice of Assignment was issued, assigning this proceeding to the undersigned. Respondent Alper filed his Answer on August 31, 2016, and respondent MTL filed its Answer on September 6, 2016. MTL and Alper deny most allegations in the Complaint and assert affirmative defenses.

II. ORDER TO SHOW CAUSE.

Because “it appear[ed] that the Complaint does not allege that Respondents engaged in international transportation by water of the Mercedes or the Harley Davidsons,” an Order was issued *sua sponte* on September 15, 2016, directing Complainants to show cause by October 3, 2016, “why the allegations in their Complaint regarding the 2006 Mercedes SL65 and [the Harley Davidson motorcycles] should not be dismissed for lack of subject matter jurisdiction or for failure to state a claim upon which relief can be granted.” *MAVL Capital Inc., IAM AL Group Inc., and Maxim Ostrovskiy v. Marine Transport Logistics, Inc. and Dmitry Alper*, FMC No. 16-16 (ALJ Sept. 15, 2016) (Order to Show Cause Why Complaint Should Not be Partially Dismissed (Show Cause Order)) at 7 (*MAVL v. MTL*). Respondents were ordered to file a response to Complainants’ response to the Order by October 17, 2016. *Id.* The Order permitted Complainants to file a reply to Respondents’ responses by October 24, 2016. *Id.*

On October 3, 2016, Complainants filed their response to the Show Cause Order. Complainants included a Certification signed by Complainant Ostrovskiy (Ostrovskiy Certification) alleging additional facts. On October 17, 2016, respondent Alper and respondent MTL filed separate briefs in support of the Show Cause Order, and on October 24, 2016, Complainants filed a Reply to

Respondents' briefs. Complainants and MTL included a significant number of exhibits with their responses.

The claims regarding the alleged conversion of the Mercedes are not within the Commission's subject matter jurisdiction. Because in their response to the Show Cause Order Complainants did not articulate any argument that Respondents violated section 41104(10) of the Act in connection with the Mercedes or the Harley Davidson motorcycles, section 41104(3) in connection with the Mercedes, or section 41102(c) in connection with the Harley Davidson motorcycles, Complainants are deemed to have abandoned these claims. For the purposes of this motion, the well-pleaded facts alleged in the Complaint and the well-pleaded facts alleged in the Ostrovskiy Certification are accepted as true. Complainants do not state facts that would support a finding that they entered into a contract of carriage to transport the Mercedes and fail to state a claim of violation of section 41102(c) in connection with the Mercedes. Therefore, claims regarding the Mercedes are dismissed with prejudice. Complainants do not state a claim that Respondents retaliated against them in violation of section 41104(3) in connection with the Harley Davidson motorcycles. Therefore, claims regarding the Harley Davidson motorcycles are dismissed with prejudice. Remaining allegations will continue pursuant to the current schedule as addressed in the Initial Order, *MAVL v. MTL*, FMC No. 16-16 (ALJ Aug. 16, 2016) (Initial Order), and the Order Modifying Initial Order issued today. *MAVL v. MTL*, FMC No. 16-16 (ALJ Jan. 17, 2017) (Order Modifying Initial Order).

III. CONTROLLING AUTHORITY.

A. Relevant Statutes.

Complainants filed their Complaint pursuant to section 41301 of the Act.

A person may file with the . . . Commission a sworn complaint alleging a violation of this part, except section 41307(b)(1). If the complaint is filed within 3 years after the claim accrues, the complainant may seek reparations for an injury to the complainant caused by the violation.

46 U.S.C. § 41301(a).

The Complaint alleges that MTL is an NVOCC licensed by the Commission. (Complaint ¶ 9). "The term 'non-vessel-operating common carrier' means a common carrier that – (A) does not operate the vessels by which the ocean transportation is provided; and (B) is a shipper in its relationship with an ocean common carrier." 46 U.S.C. § 40102(16).

The term "common carrier" – (A) means a person that – (i) holds itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation; (ii) assumes responsibility for the transportation from the port or point of receipt to the port or point of destination;

and (iii) uses, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country.

46 U.S.C. § 40102(6).

The Act prohibits common carriers from taking certain actions. The Complaint alleges that Respondents violated sections 41102(c), 41104(3), and 41104(10) of the Act. (Complaint ¶¶ 51(A)-51(C). Section 41102(c) provides: “No common carrier, ocean transportation intermediary or marine terminal operator may fail to establish, observe and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” 46 U.S.C. § 41102(c). Section 41104 provides:

A common carrier, either alone or in conjunction with any other person, directly or indirectly, may not –

* * *

(3) retaliate against a shipper by refusing, or threatening to refuse, cargo space accommodations when available, or resort to other unfair or unjustly discriminatory methods because the shipper has patronized another carrier, or has filed a complaint, or for any other reason;

* * *

(10) Unreasonably refuse to deal or negotiate.

46 U.S.C. § 41104.

The Act defines actual injury.

(a) *Definition.* – In this section, the term “actual injury” includes the loss of interest at commercial rates compounded from the date of injury.

(b) *Basic amount.* – If the complaint was filed within the period specified in section 41301(a) of this title, the . . . Commission shall direct the payment of reparations to the complainant for actual injury caused by a violation of this part.

* * *

(e) *Attorney Fees.* – In any action brought under section 41301, the prevailing party may be awarded reasonable attorney fees.

46 U.S.C. § 41305.

B. Authority Guiding *Sua Sponte* Dismissal of a Case by a Commission Administrative Law Judge.

A Commission administrative law judge may dismiss *sua sponte* a complaint that fails to state a claim.

Rule 12 of the Commission's Rules of Practice and Procedure (the Rules) states that the Federal Rules of Civil Procedure will be followed in instances that are not covered by the Commission's Rules, to the extent that application of the Federal Rules is consistent with sound administrative practice. 46 C.F.R. § 502.12. As the Commission's Rules do not address motions to dismiss for lack of subject matter jurisdiction or failure to state a claim, Federal Rules 12(b)(1) and 12(b)(6) apply in this case. See, e.g., *The Lake Charles Harbor and Terminal District v. West Cameron Port, Harbor and Terminal District*, 2007 WL 2468431 (F.M.C.).

Rule 12(b)(1) permits a party to raise by motion lack of subject matter jurisdiction, and Rule 12(b)(6) permits a party to raise by motion failure to state a claim. With regard to motions to dismiss a complaint for lack of subject matter jurisdiction under Rule 12(b)(1), such motions may assert either a factual attack or a facial attack to jurisdiction. . . . A factual attack challenges "the existence of subject matter jurisdiction in fact, irrespective of the pleadings, and matters outside the pleadings, such as testimony and affidavits, are considered." . . . In a facial attack, on the other hand, the court examines whether the complaint has sufficiently alleged subject matter jurisdiction. As it does when considering a Rule 12(b)(6) motion to dismiss for failure to state a claim, the court construes the complaint in the light most favorable to the plaintiff and accepts all well-pled facts alleged . . . in the complaint as true.

Sinaltrainal v. Coca-Cola Company, 578 F.3d 1252, 1260 (11th Cir. 2009).

To survive motions to dismiss for failure to state a claim under Rule 12(b)(6), a complaint must contain sufficient factual matter, accepted as true, to "state a claim to relief that is plausible on its face." *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007). A claim "has facial plausibility when the plaintiff pleads factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged." *Ashcroft v. Iqbal*, [556 U.S. 662, 677] (2009). The complaint must be sufficient to "give the defendant fair notice of what the . . . claim is and the grounds upon which it rests." *Bell Atlantic*, 550 U.S. at 555 (quoting *Conley v. Gibson*, 355 U.S. 41, 47 (1957)); see also 5 Charles Alan Wright & Arthur R. Miller, *Federal Practice & Procedure Civ.* § 1215 (3d ed. 2010) ("[T]he test of a complaint's sufficiency simply is whether the document's allegations are detailed and informative enough to enable the defendant to respond.").

Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc., 32 S.R.R. 126, 136 (FMC 2011).

In evaluating whether a complaint before the Commission states a cognizable claim under the Shipping Act, the Commission has relied on Federal Rule of Civil Procedure 12(b)(6) and the federal caselaw interpreting it . . . [C]ourts will dismiss a claim if the plaintiff's complaint fails to plead 'enough facts to state a claim for relief that is plausible on its face.' Under this standard, courts focus on the language in the complaint, and whether that language sets forth sufficient factual allegations to support the plaintiff's claim for relief. Indeed, '[w]hile a complaint need not plead 'detailed factual allegations,' the factual allegations it does include 'must be enough to raise a light to relief above the speculative' and to 'nudge . . . claims across the line from conceivable to plausible.' This 'plausibility standard is not akin to probability requirement, but it asks for more than a sheer possibility that a defendant has acted unlawfully. Where a complaint pleads facts that are merely consistent with a defendant's liability, it stops short of the line between possibility and plausibility of entitlement to relief.'

Cornell v. Princess Cruise Lines, Ltd. (Corp.), et al, 33 S.R.R. 614, 620 (FMC 2014) (internal citations omitted).

[The Commission] must accept as true the well-pleaded factual allegations of the complaint, draw all reasonable inferences therefrom in [Complainants'] favor, and determine whether the complaint, so read, limns facts sufficient to justify recovery on any cognizable theory. In arriving at this determination, we differentiate between well-pleaded facts, on the one hand, and "bald assertions, unsupportable conclusions, periphrastic circumlocution, and the like," on the other hand; the former must be credited, but the latter can safely be ignored.

LaChapelle v. Berkshire Life Ins. Co., 142 F.3d 507, 508 (1st Cir. 1998).

"It is elementary law that a tribunal should determine its jurisdiction before addressing the merits of a controversy brought before it. This principle is especially relevant when the tribunal has limited jurisdiction such as this Commission." *Crowley Liner Serv., Inc. and Trailer Bridge, Inc. v. Puerto Rico Ports Auth.*, 29 S.R.R. 394, 396 (ALJ 2001) (citing *The Government of the Territory of Guam v. Sea-Land Serv., Inc.*, 28 S.R.R. 252, 265 (FMC 1998); *River Parishes Co. Inc. v. Ormet Primary Aluminum Corp.*, 28 S.R.R. 751, 762 (FMC 1999); *NPR, Inc. v. Board of Commissioners of the Port of New Orleans*, 28 S.R.R. 1512, 1519 (ALJ 2000)). "It is also elemental that parties, such as complainants in the instant case, who invoke the jurisdiction of a tribunal such as the Commission, have the burden of showing that jurisdiction lies." *Crowley Liner Services, supra*, 29 S.R.R. at 396 (citing *River Parishes*, 28 S.R.R. at 201 (ALJ 1998, affirmed 28 S.R.R. 751 (FMC 1999)); *GAAR v. Quirk*, 86 F.3d 451, 453 (5th Cir. 1996); *Aetna Casualty & Surety Co. et al.*, 796 F.2d 770, 773 (5th Cir. 1986)).

"The Commission 'is not a court, and cannot rely . . . on the powers of a court of equity. On the contrary, the law is settled that an administrative agency can exercise only those powers conferred on it by Congress.'" *Trans-Pacific Freight Conference of Japan v. FMB*, 302 F.2d 875, 880 (D.C. Cir. 1962). The Commission has jurisdiction over matters relating to "transportation by water of . . . cargo between the United States and a foreign country." That jurisdiction essentially begins when a common carrier assumes responsibility for transportation of the cargo and ends when the cargo is delivered to the consignee at the place of destination contemplated by the contract of carriage. *See, e.g., Norfolk Southern R. Co. v. James N. Kirby, Pty Ltd.*, 543 U.S. 14, 23-27 (2004) (finding that federal maritime law applies to the inland portions of international shipments transported under a through bill of lading). *See also, Kawasaki Kisen Kaisha, Ltd. v. Regal-Beloit Corp.*, 561 U.S. 89, 108 (2010) (finding that ocean transportation occurring under a through bill of lading cannot be separated into ocean and domestic inland transportation); *accord, Mitsui O.S.K. Lines Ltd. v. Global Link Logistics*, 2011 FMC LEXIS 12, 56 (FMC 2011) ("[L]egislative history demonstrates that Congress intended that the Commission have jurisdiction over through transportation including the inland segment of such transportation.")

Dismissal is appropriate in this case because "[l]ack of subject matter jurisdiction, unlike many other objections to jurisdiction of a particular court, cannot be waived. It may be raised at any time by a party to an action, or by the court *sua sponte*." *Bueford v. Resolution Trust Corp.*, 991 F.2d 481, 485 (8th Cir. 1993). *See also, In re Ben Carter*, 618 F.2d 1093, 1100 (5th Cir. 1980) ("Subject matter jurisdiction is limited by the Constitution and the Congress, and cannot be expanded by judicial interpretation or by the acts or consent of the parties to a case.")

C. Evidence and Burden of Persuasion.

A complainant alleging a violation of the Shipping Act "has the initial burden of proof to establish the[] violation[]. The applicable standard of proof is one of substantial evidence, an amount of information that would persuade a reasonable person that the necessary premise is more likely to be true than to be not true." *AHL Shipping Company v. Kinder Morgan Liquids Terminals, LLC*, FMC No. 04-05, 2005 WL 1596715, at *3 (ALJ June 13, 2005). *See* 5 U.S.C. § 556(d) ("Except as otherwise provided by statute, the proponent of a rule or order has the burden of proof."); 46 C.F.R. § 502.155. "[A]s of 1946 the ordinary meaning of burden of proof [in section 556(d)] was burden of persuasion, and we understand the APA's unadorned reference to 'burden of proof' to refer to the burden of persuasion." *Director, Office of Workers' Compensation Programs v. Greenwich Collieries*, 512 U.S. 267, 276 (1994). The party with the burden of persuasion must prove its case by a preponderance of the evidence. *Steadman v. SEC*, 450 U.S. at 102. "[W]hen the evidence is evenly balanced, the [party with the burden of persuasion] must lose." *Greenwich Collieries*, 512 U.S. at 281. It is appropriate to draw inferences from certain facts when direct evidence is not available, and circumstantial evidence alone may even be sufficient; however, such findings may not be drawn from mere speculation. *Waterman Steamship Corp. v. General Foundries, Inc.*, 26 S.R.R. 1173, 1180 (ALJ 1993), adopted in relevant part, 26 S.R.R. 1424 (FMC 1994).

IV. ALLEGATIONS OF VIOLATION OF SECTION 41104(10).

The Complaint alleges that Respondents violated section 41104(10) of the act, which prohibits a common carrier from refusing to deal or negotiate. (Complaint V.B.) Complainants did not articulate any argument that Respondents violated section 41104(10) of the Act in their response to the Show Cause Order.

[A party's] failure to brief and argue [an] issue is grounds for finding that the issue has been abandoned. *Fehlhaber v. Fehlhaber*, 681 F.2d 1015, 1030 (5th Cir. 1982) (citing *U.S. v. Indiana Bonding & Surety Co.*, 625 F.2d 26, 29 (5th Cir. 1980) (finding that "even though [an] issue was listed as one of the defendant's contentions in the pretrial order, and was thus presumably triable, [the defendant's] failure to present evidence in support of the defense before the district court precludes our review of it [on appeal]"). Cf. *McMaster v. United States*, 177 F.3d 936, 940-41 (11th Cir. 1999) (noting that a claim may be considered abandoned when the allegation is included in the plaintiff's complaint, but he fails to present any argument concerning this claim to the district court); *Lyes v. City of Riviera Beach, Fla.*, 126 F.3d 1380, 1388 (11th Cir. 1997) (noting that "the onus is upon the parties to formulate arguments; grounds alleged in the complaint but not relied upon in summary judgment are deemed abandoned") (citation omitted), *reh'g granted and vacated by*, 136 F.3d 1295 (1998), reinstated by, 166 F.3d 1332, 1336 (11th Cir. 1999) (*en banc*); *Road Sprinkler Fitters Local Union No. 669 v. Indep. Sprinkler Corp.*, 10 F.3d 1563, 1568 (11th Cir. 1994) (concluding that a district court "could properly treat as abandoned a claim alleged in the complaint but not even raised as a ground for summary judgment").

Coalition for the Abolition of Marijuana Prohibition v. City of Atlanta, 219 F.3d 1301, 1326 (11th Cir. 2000). Therefore, Complainants are deemed to have abandoned any claim that Respondents violated section 41104(10) in connection with the Mercedes or the three Harley Davidson motorcycles and this claim is dismissed with prejudice.

V. THE 2006 MERCEDES SL65.

A. Allegations in the Complaint.

Complainants allege that they imported a 2006 Mercedes SL65 into the United States and hired MTL to store it pending repair and shipment to Germany.

27. On or about December 3, 2012, Complainants requested that MTL act as Complainants' "receiving agent" and store a [Mercedes] imported to the United States by Complainants so that maintenance could be performed on the vehicle after which it would subsequently be shipped overseas.
28. Said Mercedes was then received by MTL's warehouse facility.

29. On or about December 3, 2012, Complainants explained to MTL that the [Mercedes] was to be shipped to Germany by respondents on a date to be determined by Complainants after Complainants could inspect said vehicle and order custom made repair parts.
30. Because of the commercial relationship between Complainants and MTL, MTL agreed to charge Complainants a monthly storage charge of \$150 for the storage of the [Mercedes].
31. The respondents unlawfully converted [the Mercedes] and shipped it to the United Arab Emirates on or about August 24, 2013 without the permission or direction of Complainants.
32. The respondents unlawfully shipped this vehicle overseas without obtaining a Power of Attorney or other Written Authorization for the Complainants.
33. The respondents have further failed to follow all legal prerequisites to selling this vehicle, such as notifying the Complainants prior to the sale, and the requirement that respondents obtain valid title [to] this vehicle. Respondents have further failed to provide documentation establishing that a sale took place, nor have they come forward with the specific sum realized from the sale of the vehicle.
34. In addition, the consignee listed on the bill of lading for the shipment of this vehicle is a third-party that has no relationship, commercial or otherwise with the Complainants.
35. The respondents unlawfully converted this vehicle for the purposes of shipping it overseas and selling it for a profit.
36. Therefore, as a result of respondents' unlawful conversion of this vehicle, complainants are entitled to damages in the amount of \$39,931.81, which includes the sum of \$25,615.00 paid to purchase this vehicle, \$1000 for shipment from the U.S. to Germany for repairs, \$7000.00 expended on repairs of the vehicle in Germany, and \$6316.81 in freight, U.S. customs clearance and other charges for shipment of this vehicle back to the United States.

(Complaint.)

B. The Show Cause Order.

The Show Cause Order stated "it appears that the Complaint alleges that MTL stole the [2006 Mercedes SL65] while it was stored in MTL's warehouse, not while MTL was transporting

it internationally by water. The Complaint does not appear to allege a Shipping Act violation by MTL or Alper.” *MAVL v. MTL*, FMC No. 16-16, Order at 6 (ALJ Sept. 15, 2016) (Show Cause Order). Complainants were ordered to show cause why the “why the allegations in their Complaint regarding the 2006 Mercedes SL65 . . . should not be dismiss[ed] for lack of subject matter jurisdiction or for failure to state a claim upon which relief can be granted.” *Id.* at 7.

C. Responses to the Show Cause Order.

Complainants included a certification by Complainant Ostrovskiy alleging additional facts with their response. Although these facts are not part of the Complaint, because Complainants have asked for leave to amend the Complaint, and because of the outcome below, for the purposes of this Initial Decision, these facts are assumed to be true.

Ostrovskiy states:

3. As explained below, The Mercedes was received by delivered respondent [MTL] for one purpose, to wit: for long term storage in contemplation of export back to Germany.
4. As additionally explained below, MTL invoiced complainants for storage of the Mercedes pursuant to the terms of its tariff related to vehicles received by MTL for purposes of export.
5. It was only after complainants requested that the respondents release the vehicle from long term storage by MTL and export it back to Germany, said vehicle was intentionally shipped to Dubai by respondents and then subsequently sold under the pretext of respondents exercising a maritime lien.
6. The respondents claim to have exercised this lien pursuant to the terms and conditions of MTL’s house bill of lading under which the vehicle was transported overseas.
7. On or about December 3, 2012, Complainants requested that MTL act as Complainants’ “receiving agent” and store the Mercedes, imported to the United States from Germany by Complainants so that maintenance could be performed on the vehicle after which it would subsequently [be] shipped back to Germany.
8. Said Mercedes was then received by MTL’s warehouse facility.
9. I personally provided MTL with the original Certificate of Title for the Mercedes to facilitate the forthcoming export of the vehicle back to Germany, which included presentation of the of the title to U.S. Customs so that it could be “validated” by U.S. Customs prior to being loaded on board a vessel

destined for Germany. A copy of the certificate of title for the Mercedes is annexed hereto as Exhibit "A".

10. On or about December 3, 2012, Complainants explained to MTL that the Mercedes was to be shipped back to Germany by respondents on a date to be determined by Complainants after Complainants could inspect said vehicle and order custom made repair parts.
11. Due to the fact that this vehicle was delivered to MTL's facility for the sole purpose of being exported back to Germany, complainants received thirty (30) days of free storage at MTL's warehouse pursuant to MTL's tariff.
12. After the thirty free days of storage had expired, MTL began invoicing complainants \$150.00 per month which represented a 50% discount of MTL's normal storage rate of \$10.00 per day, and this was done in light of the parties' ongoing business relationship. A copy of the invoice is annexed hereto as Exhibit "B".
13. On or about June 1, 2013, I visited MTL's storage site to obtain possession of the vehicle to visually inspect it prior to export back to Germany through MTL, and MTL refused to offer any explanation as to the whereabouts of the vehicle.
14. Subsequent thereto, in early June of 2013, and due to a lack of response by MTL, I then proceeded to export the vehicle without visual inspection. I then requested that the respondents release the Mercedes from the MTL storage site and export it back to Germany.
15. The request to MTL for export to Germany was made verbally. I specifically instructed MTL to export the vehicle to Germany to an address previously provided to MTL for export of my other cargo. The request was made to export to the following consignee; Anatoli Ostrovski, Arnold STR 2, Dusseldorf Germany, 40749.
16. It was not until I filed a lawsuit in the United States District Court for the Eastern District of New York that I learned that respondents exported the Mercedes to Dubai.
17. Instead of following my instructions, the respondents shipped the Mercedes to the United Arab Emirates on or about August 24, 2013 without my permission or direction to ship it to that location.

(Comp. Resp. to Order to Show Cause, Certification of Maxim Ostrovskiy (Ostrovskiy Certification).) Exhibit A attached to the Certification is not a certificate of title, but a State of California Salvage Certificate for the Mercedes stating:

The vehicle described herein has been declared a total loss salvage vehicle . . . and may not be registered without a vehicle identification number (VIN) inspection . . . and a brake and light inspection. . . . [California Code] requires the seller and any subsequent sellers that transfer ownership of a total loss vehicle pursuant to a properly endorsed salvage certificate to disclose to the purchaser at, or prior to, the time of the sale that the vehicle has been declared a total loss salvage vehicle.

(Ostrovskiy Certification, Exhibit A.) The Certificate shows the owner as Mercury Insurance. The second page of the Certificate states that the Mercedes was assigned to Manhattan Auto Brokers, Inc., on October 8, 2010. Manhattan Auto Brokers's current connection to the Mercedes is not explained.

Complainants contend that Respondents violated the Shipping Act because the Mercedes was received by MTL for storage in contemplation of export back to Germany. Complainants contend that it was only after they requested that Respondents release the Mercedes from storage and export it back to Germany that Respondents "intentionally misdelivered" the Mercedes to Dubai and sold it under the pretext of a maritime lien pursuant to the terms of MTL's bill of lading. (Comp. Resp. to Order to S/C at 2.) Complainants also contend that because the alleged unlawful activity occurred "*while MTL was engaged in the course of transporting the vehicle internationally by water*," (*id.* (emphasis in original)), the Commission has jurisdiction over their claim.

Respondent Alper argues that Complainants' response "does not contradict the statement in the Order to Show Cause that MTL stole the Mercedes while it was stored in MTL's warehouse, not while MTL was transporting it internationally by water;" therefore, Complainants' response "does not change the fact that the conversion of the vehicle occurred in MTL's warehouse, thereby, abrogating any claim to a violation of the Shipping Act." (Alper Brief at 2.)

Respondent MTL denies Complainants allegation that MTL converted the Mercedes. MTL argues however, that even accepting the allegation as true, the alleged conversion of the Mercedes could only have occurred prior to the export of the Mercedes – that is, before the Mercedes entered into international transportation by water to Dubai. MTL contends that "Complainants' allegations are, in reality, allegations of conversion occurring [in MTL's storage facility] in New Jersey without any international carriage by water and without any Shipping Act implications whatsoever." Thus, argues MTL, Complainants' claim must be dismissed for lack of jurisdiction. (MTL Brief in Support of the Show Cause Order at 5.)

In reply, Complainants assert that Respondents have articulated conflicting statements in their responses in the district court litigation and their responses in the FMC proceeding regarding the claim that Respondents converted the Mercedes. According to Complainants, on one hand Respondents denied having converted the Mercedes in their joint Answer in the district court case,

while arguing in this proceeding that the Mercedes was converted prior to its shipment abroad. (Comp. Reply to Resp. at 2.) In addition, Complainants state that in the district court litigation Respondents claimed to have sold the Mercedes to recover outstanding debts owed by Complainants pursuant to MTL's bill of lading terms. Complainants assert that any such sale constitutes "a clear violation of the Shipping Act." (*Id.*) According to Complainants, because Respondents shipped the Mercedes to Dubai under Complainants' original title and executed a lien on the vehicle, conversion of the vehicle must have occurred in Dubai because ownership of the Mercedes could only have transferred when the new title was issued in Dubai. *Id.* at 6.

D. Complainants' Claims Regarding the 2006 Mercedes SL65 are Dismissed With Prejudice.

Complainants allege that in December 2012 they hired MTL to act as their "receiving agent" and store [the] Mercedes, imported to the United States from Germany by Complainants so that so that maintenance could be performed on the vehicle after which it would subsequently be shipped overseas." (Complaint ¶ 27.) MTL admits that it arranged for storage of the Mercedes. (MTL Answer ¶ 27.) Complainants do not allege that MTL was involved in the shipment or violated the Shipping Act when the Mercedes was imported into the United States. The invoice issued by MTL for the storage of the Mercedes indicates that Atlantic Cargo Logistics LLC² was the shipper and the consignee when the Mercedes was imported. This invoice indicates that the shipment of the Mercedes originated in BRV, presumably Bremerhaven, Germany, with destination NYC, presumably the Port of New York and New Jersey, and that the Mercedes entered the United States on October 31, 2012. (Ostrovskiy Certification, Exhibit B.) I note that if MTL were involved in the importation of the Mercedes, the international ocean transportation likely ended soon after October 31, 2012, when the Mercedes arrived in the United States and certainly by December 3, 2012, when the Mercedes was put in long term storage with MTL, and that this event occurred more than three years before Complainants filed their Commission Complaint. *See* 46 U.S.C. § 41301(a) (Shipping Act provides three-year statute of limitations for a claim for a reparation award). Whether or not MTL operated as a common carrier when the Mercedes was imported, accepting the Complaint's factual allegations as true, MTL's role became that of a storage facility (or changed from that of a common carrier within the meaning of the Act into that of a storage facility) when the Mercedes arrived at its warehouse in Bayonne, NJ. (Complaint ¶¶ 27-29; Ostrovskiy Certification, Exhibit B.)

MTL stored the Mercedes in its warehouse for more than six months and charged Complainants \$150 per month for that storage. (Complaint ¶ 30; (MTL Answer ¶ 30.) According to the invoice included in Complainants' response, by May 9, 2013, Complainants owed MTL a total of \$900.00 in storage fees. (Ostrovskiy Certification, Exhibit B.)

The Show Cause Order stated:

² Atlantic Cargo Logistics LLC is an NVOCC licensed by the Commission. *See* <http://www2.fmc.gov/oti/NVOCC.aspx>, last visited December 21, 2016.

According to the Complaint, *before* [Complainants] instructed Respondents to export the Mercedes, Respondents “unlawfully converted this vehicle and shipped it to the United Arab Emirates on or about August 24, 2013, without the permission or direction of the Complainants.” (*Id.* ¶¶ 31-32.) Therefore, it appears that the Complaint alleges that MTL stole the Mercedes while it was stored in MTL’s warehouse, not while MTL was transporting it internationally by water.

MAVL v. MTL, FMC No. 16-16, Order at 6 (ALJ Sept. 15, 2016) (Show Cause Order) (emphasis in original). To the extent the facts alleged in the Ostrovskiy Certification change this characterization of the events in the Complaint, they do not change the outcome. (Ostrovskiy Certification ¶¶ 3-17.)

Complainants contend that MTL received the Mercedes in December 2012 for one purpose:

[F]or storage by MTL in contemplation of export back to Germany. It was only after complainants requested that the respondents release the vehicle from storage and export it back to Germany, the said vehicle was intentionally misdelivered to Dubai by respondents and then subsequently sold under the pretext of respondents allegedly exercising a maritime lien pursuant to the terms and conditions of MTL’s house bill of lading.

Thus, with respect to the Mercedes, the respondents violated the Shipping Act because the unlawful activity occurred *while MTL was engaged in the course of transporting the vehicle internationally by water.*

(Comp. Resp. to Order to S/C at 2 (emphasis in original). *See also id.* at 3 (“As additionally explained in the Certification of Maxim Ostrovskiy, because this vehicle *was delivered to MTL’s facility for the sole purpose of being exported back to Germany*, complainants received thirty (30) days of free storage at MTL’s warehouse. (Ostrovskiy Certification, ¶ ‘11’)”) (emphasis in original).) The allegation that the Mercedes was stored with MTL “*for the sole purpose of being exported back to Germany*” is contradicted by the allegation in the Verified Complaint signed by Ostrovskiy that Complainants stored the Mercedes with MTL “so that maintenance could be performed on the vehicle after which it would subsequently be shipped overseas.” (Complaint ¶ 27.)

Complainants do not allege any facts supporting a claim that MTL entered into a contract of carriage with Complainants to transport the Mercedes to Germany when it agreed to store the Mercedes. Contract law requires three elements for the formation of a contract – (1) an offer, (2) an acceptance, and (3) consideration. *Vinmar Inc. v. China Ocean Shipping Company*, 26 S.R.R. 420, 423 (FMC 1992). The record does not contain evidence of a contract between the parties for international ocean carriage of the Mercedes to Germany, *e.g.*, the agreed upon cost of ocean freight, agreed upon date of shipment, estimated date of arrival, port of loading, port of unloading, port or point of delivery, and identity of the consignee. Storage of a vehicle for maintenance or “in contemplation of export” without a contract of carriage does not constitute international transportation. Therefore, even if the request Complainants allege they made in December 2012 to ship the Mercedes to Germany were considered to be an offer to enter into a contract of carriage,

nothing in the record supports a finding that the offer to transport the Mercedes, as distinguished from the offer to store the Mercedes, was accepted. MTL was not “engaged in the course of transporting the [Mercedes] internationally by water” when it was storing the Mercedes.

As alleged by Complainants, the first significant event that happened after MTL accepted the Mercedes for storage occurred “[o]n or about June 1, 2013, [when Ostrovskiy] visited MTL’s storage site to obtain possession of the vehicle to visually inspect it prior to export back to Germany through MTL, and MTL refused to offer any explanation as to the whereabouts of the vehicle.” (Ostrovskiy Certification ¶ 13.) After the refusal, Ostrovskiy states that he decided to send the Mercedes back to Germany without a visual inspection. The record does not reflect whether any maintenance was performed on the Mercedes while it was in storage. Ostrovskiy alleges that in early June 2013 he asked MTL to release the Mercedes from the MTL storage site and export it to Germany and gave MTL the name and address of the consignee. (Ostrovskiy Certification ¶¶ 14-15.) After Complainants filed their New York complaint against Respondents and others on December 12, 2013, Ostrovskiy alleges that he learned that Respondents exported the Mercedes to Dubai on or about August 24, 2013, without Ostrovskiy’s permission or direction to ship it to Dubai. (Ostrovskiy Certification ¶¶ 16-17.)

Although Complainants allege that in early June 2013 Ostrovskiy told MTL he wanted the Mercedes to be shipped to Germany (“specifically instructed MTL to export the vehicle to Germany to an address previously provided to MTL for export of my other cargo” (Ostrovskiy Certification ¶ 15)), Complainants again do not allege any facts supporting a claim that MTL entered into a contract of carriage with Complainants to transport the Mercedes to Germany. Furthermore, it does not seem plausible that MTL would enter into a contract of carriage to transport the Mercedes at a time when MTL claims Complainants owed it \$900 in storage fees.

Complainants find support in MTL’s tariff that provides for 30 days free storage prior to a shipment, a benefit Complainants allege they received, and the requirement that a carrier must have the vehicle title to ship a vehicle to a foreign country. (*Id.* at 4.) Neither giving 30 days free storage in contemplation that the Mercedes would be shipped nor giving MTL the title constitutes the offer, acceptance, and consideration necessary to form a contract of carriage.

Complainants also provide MTL’s answers to interrogatories in the New York case as further proof. In those responses, Alla Solovyeva, MTL’s president, stated that a company call Car Express & Import, Inc., exported the Mercedes to Dubai where it “was sold pursuant to Clause 15 of the MTL Bill of Lading [‘LIEN’] for unpaid freight and other charges owed by plaintiffs.” (Comp. Resp. to Order to S/C, Appendix C at 3.) Complainants contend that based on Solovyeva’s responses to interrogatories, MTL is arguing in the district court that the storage fees for the Mercedes allegedly incurred but not paid by Complainants gave rise to a maritime lien pursuant to MTL’s tariff. MTL does not claim that it had a maritime lien in its brief in support of the order to show cause filed with the Commission. MTL does claim that Complainants did not pay or attempt to pay the storage fees for the Mercedes. (MTL Brief in Support of the Show Cause Order at 4-6.)

A maritime lien in cargo may be created in certain circumstances.

“A maritime lien is a privileged claim upon maritime property, such as a vessel, arising out of services rendered to or injuries caused by that property.” 1 Thomas J. Schoenbaum, *Adm. and Mar. Law* § 9-1, at 683 (5th ed. 2011). Maritime liens are a security device intended “to keep ships moving in commerce while preventing them from escaping their debts by sailing away.” *Id.* at 684-85. Thus, such a lien attaches to the maritime property from the moment a debt arises, and adheres, even through changes in the property’s ownership, until extinguished by operation of law. *Id.* at 683.

In much the same way that traditional maritime liens against a ship were based on the legal fiction that the ship was the wrongdoer, *see* 1 Schoenbaum, *supra*, § 9-1, at 683-84, maritime law recognizes a reciprocal claim against the ship’s cargo for debts associated with it.

Subject to the exception that the lien of the shipowner may be displaced by an unconditional delivery of the goods before the consignee is required to pay the freight, or by an inconsistent and irreconcilable provision in the charter-party or bill of lading, the rule is universal as understood in the decisions of the Federal courts, that the ship is bound to the merchandise and the merchandise to the ship for the performance on the part of the shipper and shipowner of their respective contracts.

The Maggie Hammond, 76 U.S. (9 Wall.) 435, 449-50, 19 L. Ed. 772 (1869). As the Supreme Court acknowledged in its influential opinion in a case captioned simply *The Bird of Paradise*, such liens on cargo may arise out of contracts to pay freight. 72 U.S. (5 Wall.) 545, 18 L. Ed. 662 (1866); *see also* 2 Thomas A. Russell, *Benedict on Admiralty* § 44, at 3-50 n.2 (7th ed. rev. 2010) (collecting cases).

World Imports, Ltd. v. OEC Group New York, 820 F.3d 576, 583 (3d Cir. 2016).

A maritime lien “arises from the usages of commerce, independently of the agreement of the parties, and not from any statutory regulations.” *The Bird of Paradise*, 72 U.S. at 555.

The contract of affreightment itself creates no [maritime] lien, and this Court has consistently declared that the obligation between ship and cargo is mutual and reciprocal and does not attach until the cargo is on board or in the master’s custody. We think the lien created by the law must be mutual and reciprocal; the lien of the cargo owner upon the ship is limited by the corresponding and reciprocal rights of the ship owner upon the cargo.

Osaka Shosen Kaisha v. Pacific Export Lumber Co., 260 U.S. 490, 499-500 (1923).

While there has been a lack of unanimity in the decisions as to the precise limits of the lien in favor of the cargo, the cases are agreed that the right to the [maritime] lien has its source in the contract of affreightment and that the lien itself is justified as a means by which the vessel, treated as a personality or as impliedly hypothecated to secure the performance of the contract, is made answerable for nonperformance. This engagement of the vessel, or its hypothecation, as distinguished from the personal obligation of the owner, does not ensue upon the mere execution of the contract for transportation. Only upon the lading of the vessel, or at least when she is ready to receive the cargo – where there is “union of ship and cargo” – does the contract become the contract of the vessel and the right to the lien attach. No lien for breach of the contract to carry results from failure of the vessel to receive and load the cargo or a part of it.

It is not questioned here that the union of ship and cargo, once established, gives rise to the right of the vessel to a lien on the cargo for the freight money and of the cargo on the vessel for failure to carry safely and deliver rightly.

Krauss Bros. Lumber Co. v. Dimon S.S. Corp., 290 U.S. 117, 121 (1933).

Complainants allege that MTL claimed a maritime lien on the Mercedes based on Complainants’ alleged failure to pay the storage charge, giving MTL a claimed right to sell the Mercedes. (Complaint ¶ 33; Ostrovskiy Certification ¶¶ 5-6.) If MTL has a lien on the Mercedes, the lien does not arise out of a contract to pay freight as required by the principles set forth in *The Bird of Paradise*, but the contract to pay storage fees to which Complainants and MTL agreed in December 2012. Even if there were a contract of carriage, MTL does not claim that Complainants failed to pay freight money, which could arguably be secured by a maritime lien, but storage fees unrelated to a contract of carriage that MTL claims are owed for the Mercedes.

Accordingly, it does not appear that MTL has a maritime lien on the Mercedes. Solovyeva claims that MTL has a lien based on clause 15 of MTL’s bill of lading, but neither MTL nor Complainants has submitted as an exhibit an MTL bill of lading with Complainants identified as the shipper and MTL as the carrier that would incorporate that clause. The MTL invoice for storage to Complainants is clearly not linked to the transportation into the United States because MTL was not the carrier. There was no subsequent “union of ship and [Mercedes],” *Krauss Bros. v. Dimon*, to export the Mercedes overseas until it was placed on the vessel to be transported to Dubai, and Complainants were not involved in that transportation.

The agreement between MTL and Complainants to store the Mercedes may have created a bailment under New Jersey law.

A bailment may be created by contract, either express or implied, or by operation of law or statute. *Cerreta v. Kinney Corp.*, 50 N.J. Super. 514, 517, 142 A.2d 917 (App. Div. 1958). A bailment arises when a person leaves his chattel on the premises of another “if the latter is given primary control of the chattel for the time being.”

Moore's Trucking Co. v. Gulf Tire & Supply Co., 18 N.J. Super. 467, 469-70, 87 A.2d 441 (App. Div.) (listing as examples of bailments: "jewelry checked with a swimming pool attendant; diamonds delivered to a retail jeweler 'on memorandum' for sale; automobile placed in shop to be washed; airplane stored in a hangar," (citations omitted)), *certif. denied*, 10 N.J. 22, 89 A.2d 306 (1952); *see also State v. Goodman*, 390 N.J. Super. 259, 266-67, 915 A.2d 79 (App. Div. 2007) (holding that film left with a store for developing gave rise to a bailment); *Jasphy v. Osinsky*, 364 N.J. Super. 13, 15, 18, 834 A.2d 426 (App. Div. 2003) (noting that a bailment arose when plaintiff left her three fur coats with defendant for storage and cleaning). A bailment has been explained in the following way:

A bailment is created by the delivery of personal property by one person to another in trust for a specific purpose, pursuant to an express or implied contract to fulfill that trust. Inherent in the bailment relationship is the requirement that the property be returned to the bailor, or duly accounted for by the bailee, when the purpose of the bailment is accomplished, or that it be kept until it is reclaimed by the bailor.

[8A *Am. Jur. 2d Bailments* § 1 (1997).]

Notably, for a bailment to arise, the bailor must have "possession and primary control" over the chattel. *City of Jersey City v. Liggett & Myers Tobacco Co.*, 14 N.J. 112, 115, 101 A.2d 555 (1953). During the bailment arrangement, the bailee has sole custody and control and exclusive possession of the chattel. 8A *Am. Jur. 2d Bailments* § 42 (1997). Nonetheless, the bailee still "must deal with the property during the term of the bailment according to the bailor's instructions." *Id.* at § 4.

LaPlace v. Briere, 404 N.J. Super. 585, 598-599, 962 A.2d 1139, 1146-1147 (App. Div. 2009). In this case, there was a delivery of personal property (the Mercedes) to MTL by Complainants for long term storage so that maintenance could be performed on the vehicle before it would be shipped back to Germany. (Complaint ¶¶ 27-31; Ostrovskiy Certification ¶¶ 3-17.) MTL had "sole custody and control and exclusive possession" of the Mercedes for the period in which it was in storage.

Complainants contend: "[R]espondents unlawfully converted this vehicle for the purposes of shipping it overseas and selling it for a profit." (Complaint ¶ 35.) Under New Jersey law:

Conversion has been defined as "an unauthorized assumption and exercise of the right of ownership over goods or personal chattels belonging to another, to the alteration of their condition or the exclusion of an owner's rights." *Barco Auto Leasing Corp. v. Holt*, 228 N.J. Super. 77, 83, 548 A.2d 1161 (App. Div. 1988) (quoting *McGlynn v. Schultz*, 90 N.J. Super. 505, 526, 218 A.2d 408 (Ch. Div. 1966), *certif. denied*, 50 N.J. 409, 235 A.2d 901 (1967)). Conversion is an intentional tort in that the defendant must have intended "to exercise a dominion or control over the

goods which is in fact inconsistent with the plaintiff's rights." *Prosser and Keeton on Torts* § 15 at 92 (5th ed.1984). However, the defendant need not knowingly or intentionally act wrongfully for a conversion to occur. *Ibid.* Conversion is "the wrongful exercise of dominion and control over property owned by another inconsistent with the owners' [sic] rights." *Sun Coast Merch. Corp. v. Myron Corp.*, 393 N.J. Super. 55, 84, 922 A.2d 782 (App. Div. 2007) (quoting *Port-O-San Corp. v. Teamsters Local Union No. 863 Welfare & Pension Funds*, 363 N.J. Super. 431, 440, 833 A.2d 633 (App. Div. 2003)), *certif. denied*, 194 N.J. 270, 944 A.2d 30 (2008).

Chicago Title Ins. Co. v. Ellis, 409 N.J. Super. 444, 454, 978 A.2d 281, 287 (App. Div. 2009).

A bailor may sue a bailee in conversion and/or negligence. Common-law conversion is "the exercise of any act of dominion in denial of another's title to the chattels or inconsistent with such title." *Mueller v. Technical Devices Corp.*, 8 N.J. 201, 207, 84 A.2d 620 (1951). Thus, intentional or negligent acts can give rise to a conversion cause of action. The tort arises from the bailee's commission of an unauthorized act of dominion over the bailor's property inconsistent with its rights in that property. *Ibid.* The good faith or intent of the bailee do not play a part in an action for conversion. *McGlynn v. Schultz*, 90 N.J. Super. 505, 526, 218 A.2d 408 (Ch. Div. 1966), *aff'd*, 95 N.J. Super. 412, 231 A.2d 386 (App. Div.), *certif. denied*, 50 N.J. 409, 235 A.2d 901 (1967). For example, a bailee who mistakenly destroys or disposes of the goods is liable in conversion although there is no intent to steal or destroy the goods.

Lembaga Enterprises, Inc. v. Cace Trucking & Warehouse, Inc., 320 N.J. Super. 501, 507, 727 A.2d 1026, 1029 (App. Div. 1999).

Under New Jersey law:

A warehouse has a lien against the bailor on the goods covered by a warehouse receipt or storage agreement or on the proceeds thereof in its possession for charges for storage or transportation, including demurrage and terminal charges, insurance, labor, or other charges, present or future, in relation to the goods, and for expenses necessary for preservation of the goods or reasonably incurred in their sale pursuant to law.

N.J. Stat. § 12A:7-209. Complainants contend that MTL failed to follow all legal requirements before selling the Mercedes, such as notifying the Complainants prior to the sale, and the requirement that respondents obtain valid title. (Complaint ¶ 33; Ostrovskiy Certification ¶¶ 5-6.) See N.J. Stat. § 12A:7-210 (requirements for enforcement of warehouse's lien).

Accepting the factual allegations in the Complaint and the Ostrovskiy Certification as true, it appears that while operating as a bailee under New Jersey law storing Complainants' Mercedes, MTL committed the tort of conversion the Mercedes by "an unauthorized assumption and exercise

of the right of ownership” over the Mercedes. The “unauthorized assumption and exercise of the right of ownership” – the alleged conversion – of the Mercedes would appear to have occurred either on June 1, 2013, when MTL allegedly refused to permit Ostrovskiy to see the Mercedes or tell him anything about it, or in early June 2013 when Ostrovskiy asked MTL to release the Mercedes from the MTL storage site and export it to Germany, and certainly no later than August 24, 2013, when MTL shipped the Mercedes to Dubai, a shipment in which Complainants were not involved, and sold it to cover storage fees MTL claimed were due and owing.

Complainants then allege that MTL sold the Mercedes without following legal requirements for enforcing a lien. (Complaint ¶ 33.) The legal requirements establishing a lien for storage fees and governing enforcement of that lien arise under New Jersey law. The Commission does not have subject matter jurisdiction to determine whether a New Jersey storage facility claiming nonpayment of storage fees not connected to an agreement to transport cargo by water between the United States and a foreign country, had a warehouse’s lien under New Jersey law or followed proper procedure when exercising a claimed lien on the property for storage fees. This is true even when the storage facility is also licensed as and is in the business of operating as an NVOCC.³

In their reply to MTL, Complainants contend that the conversion of the Mercedes occurred in Dubai. (See Comp. Reply to Resp. at 3 (“[I]t remains undisputed that the respondents shipped complainants’ Mercedes to Dubai, under complainants’ original title and then claimed to have executed a lien on said vehicle, allegedly pursuant to the terms and conditions of the MTL Bill of lading. Therefore, ownership of the Mercedes was transferred at the time that the new title was issued in Dubai.”); Comp. Reply to Resp. at 6 (same claim).) The contention is inconsistent with the allegation in the Complaint that “respondents unlawfully converted this vehicle for the purposes of shipping it overseas and selling it for a profit.” (Complaint ¶ 35.) Furthermore, conversion is not dependent on change of ownership such as the issuance of a new title. MTL’s alleged “unauthorized assumption and exercise of the right of ownership” occurred at some time before the Mercedes was loaded on board the Maersk ship to be transported to Dubai, not after it arrived in Dubai when title was transferred. This claim is without merit.

The Shipping Act was promulgated to regulate “the common carriage of goods by water in the foreign commerce of the United States.” 46 U.S.C. § 40101(1). The Act’s requirements apply to common carriers that “provide transportation by water of . . . cargo between the United States and a foreign country for compensation [and] assume [] responsibility for the transportation from the port or point of receipt to the port or point of destination [and] use [] for all or part of that transportation, a vessel operating on the high seas . . . between a port in the United States and a port in a foreign country.” 46 U.S.C. § 40102(6). Complainants do not allege that MTL entered into a contract of carriage to transport the Mercedes from the United States to a foreign port. The record only shows an agreement between the parties to store Complainants’ Mercedes in MTL’s warehouse, not to ship

³ The New York complaint alleges a cause of action for conversion. *MAVL Capital, Inc. v. Marine Transport Logistics, Inc., et al*, No. 13-cv-7110, Complaint at 20 (E.D.N.Y. Dec. 12, 2013). (See MTL Brief in Support of the Show Cause Order, Exhibit 2.)

the Mercedes overseas. The Commission does not have jurisdiction to adjudicate the allegation that MTL violated New Jersey by converting the Mercedes. Therefore, the claims regarding the Mercedes are dismissed with prejudice.

VI. THE HARLEY DAVIDSON MOTORCYCLES.

A. Allegations in the Complaint.

Complainants allege that they purchased three Harley Davidson FXDXI motorcycles and made arrangements to ship them with another NVOCC.

47. Between June 7, 2013 and July 8, 2013, complainants purchased a 2004 Harley Davidson FXDXI, VIN ending in 7436 (“Harley #1”); a 2007 Harley Davidson FXD, VIN ending in 1645 (“Harley #2”); and a 2000 Harley Davidson XL883, VIN ending in 3838 (“Harley #3”).
48. After having made payment in full for these motorcycles, all three of said vehicles were released to complainants with their original titles.
49. As a result of MTL’s previous failures to deliver complainants’ vehicles to their overseas destinations, complainants retained the services of another NVOCC not a party to this action and known as Unitrans-PRA (“Unitrans”), and Harley #’s “1”, “2”, and “3” were delivered to the Unitrans’ storage facility for shipment overseas.
50. On or about September 6, 2013, respondent Alper contacted Unitrans on behalf of MTL via email, and directed Unitrans to refrain from shipping Harley #’s “1”, “2”, and “3” and to “hold” that cargo.
51. As a result of respondents’ fraudulent acts described herein, the complainants incurred approximately \$22,920.00 in storage charges for the storage of these motorcycles.

(Complaint.)

B. The Show Cause Order.

The Show Cause Order stated that the Complaint does not appear to allege a Shipping Act violation by MTL or Alper regarding the three Harley Davidson motorcycles because Complainants do not allege that they hired or paid Respondents to ship Complainants’ motorcycles overseas or that Unitrans, a different NVOCC, was Respondents’ agent for transporting the motorcycles. *MAVL v. MTL*, FMC No. 16-16, Order at 7 (ALJ Sept. 15, 2016) (Show Cause Order). Complainants were ordered to show cause why the “allegations in their Complaint regarding . . . the 2004 Harley Davidson FXDXI, the 2007 Harley Davidson FXD, and the 2000 Harley Davidson XL883 should

not be dismiss[ed] for lack of subject matter jurisdiction or for failure to state a claim upon which relief can be granted.” *Id.*

C. Responses to the Show Cause Order.

Complainants contend that the Complaint “alleges a cause of action against the respondents for retaliation under section 41104(3) of the Shipping Act wherein respondents retaliated against complainants due to complainants having patronized another carrier known as Unitrans-PRA Co. Inc.” (Comp. Resp. to Order to S/C at 7.) Complainants included additional facts in the Ostrovskiy Certification. Although these facts are not part of the Complaint, because Complainants have asked for leave to amend the Complaint, and because of the outcome below, these facts are assumed to be true for the purposes of this decision.

18. On or about June 7, 2013, MAVL purchased a 2004 Harley Davidson FXDXI, VIN ending in 7436 (“Harley #1”). This motorcycle was paid for in full by MAVL.
19. On or about June 11, 2013, MAVL purchased a 2007 Harley Davidson FXD, VIN ending in 1645 (“Harley #2”). This motorcycle was paid for in full by MAVL.
20. On or about July 8, 2013, MAVL purchased a 2000 Harley Davidson XL883, VIN ending in 3838 (“Harley #3”). This motorcycle was paid for in full by MAVL.
21. After MAVL made payment in full for all three motorcycles, they were all released to MAVL with their original titles.
22. Complainants retained the services of a carrier not a party to this action and known as Unitrans-PRA (“Unitrans”), and Harley #'s “1”, “2”, and “3” were delivered to the Unitrans’ storage facility for shipment overseas.
23. On or about September 6, 2013, respondent Alper contacted Unitrans via email and directed Unitrans to refrain from shipping Harley #'s “1”, “2”, and “3” on the basis that MAVL had attempted to appropriate these motorcycles which were purportedly owned by MTL and Car Express. Alper specifically stated to Unitrans that: “Your company was previously advised of this fact verbally on August 22, 2013 and this serves as formal notice of such. We are currently requesting that you hold the . . . cargo until release instructions are provided . . .”. A copy of Alper’s email is annexed hereto as Exhibit “C”.
24. On or about October 23, 2013, respondent Alper then fraudulently obtained a replacement title for Harley #3 from the State of Georgia.

25. On or about November 8, 2013, respondent Alper contacted Unitrans and advised that he had obtained title to Harley #3 so that Unitrans would release Harley #3 back into the custody and control of MTL. A copy of the email is annexed hereto as Exhibit "D".
26. Alper's act in obtaining title to Harley #3 was fraudulent on the basis that he was aware that complainants possessed an original title, and he made misrepresentations to the State of Georgia in order to obtain a replacement title.
27. Upon information and belief, the misrepresentations made to the State of Georgia made by Alper in order to obtain title were that the original title was misplaced or destroyed, and that MTL was the lawful owner of Harley #3.
28. To date, respondents have refused to authorize Unitrans to release Harley #'s "1", "2", and "3" to their proper consignees, despite complainants' request that the respondents do so.

(Ostrovskiy Certification.)

Complainants contend that "the complaint alleges a cause of action against the respondents for retaliation under section 41104(3) of the Shipping Act wherein respondents retaliated against complainants due to complainants having patronized another carrier known as Unitrans-PRA Co. Inc." (Comp. Resp. to Order to S/C at 7.)

Mr. Alper's actions and attempts to take possession of the motorcycles (by fraudulently obtaining a replacement title) and interfere with their export by complainants (by instructing Unitrans to hold the cargo) were done as a direct result of complainants having retained another carrier to export the motorcycles overseas. The motorcycles were the lawful property of complainants and respondent Alper had no basis in law or in fact to interfere with their export.

(Comp. Resp. to Order to S/C at 8.)

With respect to the three Harley Davidson Motorcycles described in the complaint, the Presiding Officer is aware that complainants have alleged a Shipping Act violation sounding in retaliation under § 41104(3) of the Shipping Act, wherein complainants claim that the respondents retaliated against complainants for patronizing another carrier after the complainants decided to wind down the business relationship with the respondents. The three motorcycles, purchased and paid for in full, and lawfully owned by complainants, were delivered to the warehouse of a non-party NVOCC known as Unitrans-PRA Co. Inc. ("Unitrans").

As explained herein, while preparations for export were underway, respondent Alper interfered with the export, and contacted Unitrans to place a hold on that cargo. Alper threatened Unitrans with legal action on the alleged basis that Alper was the owner of said cargo and claimed that complainants were attempting to misappropriate his cargo. Alper went as far as to obtain a replacement title in his own name for one of the motorcycles and did so under false and fraudulent pretenses. As a result of the foregoing, the motorcycles were not timely released because of Alper's lies to Unitrans, where they accrued storage and demurrage charges in excess of the value of the motorcycles. This act of retaliation was done solely to punish complainants for deciding not to do business with MTL.

(*Id.* at 10-11.)

Alper contends that Complainants have failed to address the issue raised in the Show Cause Order – that Complainants do not allege they hired or paid Respondents to ship their three Harley Davidson motorcycles and have not alleged that Unitrans, the NVOCC they hired, is an agent of MTL. (Alper Brief at 2.) Alper argues that Complainants' allegations do not establish that Complainants hired Respondents to transport the motorcycles or that Unitrans was Respondents' agent. (*Id.*)

MTL contends that Complainants fail to raise a Shipping Act claim because Complainants have not shown any injury flowing from the alleged retaliation. (MTL Brief in Support of Order to S/C at 6.) MTL states that Complainants attached as an exhibit Alper's email to Unitrans (*see* Ostrovskiy Certification ¶ 23), but did not include the rest of the email thread including the Unitrans reply to Alper in which Unitrans refused Alper's request.

Unitrans-PRA Co., Inc has never been involved in any business transactions with MTL so it is unacceptable for us to get any requests from MTL in regards of third party transactions.

* * *

If you will provide our company with Court Order, we will execute it, but any instructions or orders from your company have no legal ground and can not be executed.

(MTL Brief in Support of Order to S/C at 7. *See also id.* Exhibit 4 (Alper email of September 6, 2013, Alper followup email of September 10, 2013, and Unitrans email reply of September 10, 2013).) MTL states that although MTL asked Unitrans to hold the motorcycles, Unitrans refused the request. Therefore, MTL claims that the alleged violation – contacting Unitrans in an attempt

to prevent the shipment of the motorcycles – did not proximately cause the alleged injury – the alleged accrued storage and demurrage charges.⁴

MTL argues that moreover, even accepting Complainants’ allegations as true for the purpose of the Order to Show Cause, Unitrans, not Respondents, should be culpable for any Shipping Act violation resulting from the alleged refusal to export the motorcycles. MTL contends that dismissal of the claim involving the three Harley Davidson motorcycles is thus warranted. (*Id.* at 6-8.) MTL argues that under section 41104(3) of the Act, “retaliation” occurs when a carrier refuses or threatens to refuse to provide available cargo space accommodation or engages in other unfair or unjust discrimination, whereas Complainants “voluntarily elected not to hire, book, or pay MTL to ship the motorcycles” in question. Thus, argues MTL, it could not have denied Complainants cargo space accommodation or discriminated against Complainants “for a *non-existent* booking with MTL.” *Id.* at 8-9 (emphasis in original).

Complainants contend that MTL was originally hired by Complainants for ocean transportation of the motorcycles.

With respect to the three Harley Davidson Motorcycles, respondent Alper has already admitted in a sworn declaration that MTL had received the titles for all three motorcycles after they were paid for in full by complainants “so that MTL could arrange the ocean carriage for the 3 Harley Davidson motorcycles.” (See, Declaration of Dimitry Alper, ¶ “34” a copy of which is annexed hereto as Appendix “D”).

(Comp. Reply to Resp. at 6.) “While it is undisputed that the three motorcycles eventually ended up in the custody of non-party NVOCC Unitrans . . . Alper had no legal right to interfere with the transport of the vehicles by Unitrans in the first place.” (Comp. Reply to Resp. at 7.) Complainants assert that Respondents’ claim that it was Unitrans that committed the Shipping Act violation by refusing to export the motorcycles is “a feckless attempt to pass the blame and extricate respondents from what is otherwise a textbook example of retaliation under the Shipping Act.” (*Id.*)

D. Complainants’ Claims Regarding the Harley Davidson Motorcycles are Dismissed With Prejudice.

Complainants do not argue that the alleged actions of MTL regarding the Harley Davidson motorcycles violated section 41102(c) of the Act. Therefore, any claim in the Complaint that MTL violated section 41102(c) is deemed abandoned and dismissed with prejudice. *Coalition for the Abolition of Marijuana Prohibition v. City of Atlanta*, 219 F.3d at 1326.

⁴ Complainants neither admit nor dispute the claim that Unitrans responded by refusing to comply with MTL’s request and do not question the subsequent correspondence in that email. Because this is before me on whether the Complaint states a claim, I do not make a finding on this.

Section 41104(3) prohibits a common carrier from “retaliat[ing] against a shipper by refusing, or threatening to refuse, cargo space accommodations when available, or resort to other unfair or unjustly discriminatory methods because the shipper has patronized another carrier, or has filed a complaint, or for any other reason.” 46 U.S.C. § 41104(3). This section was derived from section 14 Third of the Shipping Act, 1916, “which was copied virtually verbatim into the 1984 Act as section [41104(3)].” *International Association of NVOCCs v. Atlantic Container Line*, 1990 FMC LEXIS 5 (ALJ Jan. 25, 1990). In construing section 14 Third, the Supreme Court stated:

[T]he revealed congressional purpose in § 14 Third . . . , as we have said, was to outlaw practices in addition to those specifically prohibited elsewhere in the section when such practices are used to stifle the competition of independent carriers. The characterizations “unjustly discriminatory” and “unjustly prejudicial” found in other sections (§§ 15, 16 and 17) imply a congressional intent to allow some latitude in practices dealt with by those sections, but the practices outlawed by the “resort to” clause of § 14 Third take their gloss from the abuses specifically proscribed by the section; that is, *they are confined to practices designed to stifle outside competition.*

Federal Maritime Board v. Isbrandtsen, 356 U.S. 481, 495 (1958) (footnote omitted) (emphasis added). Section 41104(3), like its predecessor section 14, Third, is not “a flat and unqualified prohibition of any discrimination by a carrier for any reason.” *Isbrandtsen*, 356 U.S. at 495.

Complainants allege that they hired Unitrans to transport the motorcycles “[a]s a result of MTL’s previous failures to deliver complainants’ vehicles to their overseas destinations.” (Complaint ¶ 49.) They do not allege that MTL “refus[ed], or threaten[ed] to refuse, cargo space accommodations when available” because Complainants hired Unitrans. Therefore, there is no claim that MTL violated the first provision in section 41104(3).

The core of Complainants’ claim is instead that “[o]n or about September 6, 2013, respondent Alper contacted Unitrans on behalf of MTL via email, and directed Unitrans to refrain from shipping Harley #’s ‘1’, ‘2’, and ‘3’ and to ‘hold’ that cargo.” (*Id.* ¶ 50.) Complainants do not explain how the act that Complainants allege – emailing Unitrans in an attempt to stop shipment of the motorcycles – is designed to stifle outside competition. Therefore, accepting as true the allegations in the Complaint and Ostrovskiy Certification, Complainants do not state a claim of violation of section 41104(3).

Complainants’ contention that Alper admitted that MTL received the titles for the motorcycles “so that MTL could arrange the ocean carriage for the 3 Harley Davidson motorcycles” does not support a finding that MTL entered into a contract of carriage to transport the motorcycles. First, Alper does not state that MTL agreed to transport the motorcycles for Complainants. Second, Alper’s claim that MTL received the titles is contradicted by Ostrovskiy, who states that “all three of said vehicles were released to complainants with their original titles” and that “complainants retained the services of another NVOCC not a party to this action and known as [Unitrans], and Harley #’s ‘1’, ‘2’, and ‘3’ were delivered to the Unitrans’ storage facility for shipment overseas.” (Complaint ¶¶ 48-49. *See also* Ostrovskiy Certification ¶¶ 21-22 (“the

motorcycles were all released to MAVL with their original titles” and “Complainants retained the services of a carrier not a party to this action and known as [Unitrans], and Harley #’s ‘1’, ‘2’, and ‘3’ were delivered to the Unitrans’ storage facility for shipment overseas.”.) Moreover, accepting Complainants’ allegations as true, even if Complainants originally intended MTL to arrange ocean carriage of the motorcycles, Complainants ultimately tendered the motorcycles to a different NVOCC – Unitrans – for international ocean carriage.

Accepting the factual allegations in the Complaint and the Ostrovskiy Certification as true, Complainants fail to state a claim that Respondents retaliated against Complainants due to complainants having patronized another carrier, or has filed a complaint, or for any other reason. 46 U.S.C. § 41104(3). Therefore, the claims regarding the Harley Davidson motorcycles are dismissed with prejudice.

VII. COMPLAINANTS’ REQUEST TO AMEND THEIR COMPLAINT IS DENIED.

Complainants request that the Presiding Officer . . . to the extent necessary, allow complainants leave to amend the Complaint. Comp. Reply to Resp. at 7-6.

If the underlying facts or circumstances relied upon by a plaintiff may be a proper subject of relief, he ought to be afforded an opportunity to test his claim on the merits. In the absence of any apparent or declared reason – such as undue delay, bad faith or dilatory motive on the part of movant, repeated failure to cure deficiencies by amendments previously allowed, undue prejudice to the opposing party by virtue of allowance of the amendment, *futility of amendment*, etc. – the leave sought should, as the rules require, be “freely given.”

Foman v. Davis, 371 U.S. 178, 182 (1962) (emphasis added). “Courts may deny a motion to amend a complaint as futile . . . if the proposed claim would not survive a motion to dismiss.” *James Madison Ltd. v. Ludwig*, 82 F.3d 1085, 1099 (D.C. Cir. 1996) citing *Foman v. Davis*, 371 U.S. 178, 181-182 (1962); *Moldea v. New York Times*, 22 F.3d 310, 319 (D.C. Cir. 1994).

Amendment of the Complaint would not cure the Commission’s lack of jurisdiction to adjudicate the claim that Respondents converted the Mercedes while it was held in long term storage. The factual allegations set forth in Complainants’ Complaint and the Ostrovskiy Certification are accepted as true. In order to state a claim, Complainants would have to contradict these sworn allegations. Therefore, leave to amend the Complaint is denied as futile.

VIII. CONCLUSION.

Because the claims involving the alleged conversion of the 2006 Mercedes SL65 do not involve international ocean transportation, the Commission lacks subject matter jurisdiction to hear the claims. Accepting as true the facts alleged in the Complaint and the Ostrovskiy Certification, Complainants fail to state a claim for relief for violation of the Shipping Act regarding the 2006 Mercedes SL65 and the 2004 Harley Davidson FXDXI, the 2007 Harley Davidson FXD, and the

2000 Harley Davidson XL883. Any amendment of the claims would not cure the discussed defects. The claims regarding the 2011 Porsche Panamera remain pending.

ORDER

Upon consideration of the Order to Show Cause Why Complaint Should Not Be Partially Dismissed, the responses thereto, and the record herein, and for the reasons set forth above, it is hereby

ORDERED that the claims regarding the 2006 Mercedes SL65 set forth in the Complaint be **DISMISSED WITH PREJUDICE**. It is

FURTHER ORDERED that the claims regarding the 2004 Harley Davidson FXDXI, the 2007 Harley Davidson FXD, and the 2000 Harley Davidson XL883 set forth in the Complaint be **DISMISSED WITH PREJUDICE**.


Clay G. Guthridge
Administrative Law Judge

RESPONDENT MARINE TRANSPORT LOGISTIC INC.’S

APPENDIX “2”

UNITED STATES DISTRICT COURT
EASTERN DISTRICT OF NEW YORK

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CIVIL 13 - 7110 MAVL CAPITAL, INC., IAM & AL GROUP INC., and MAXIM OSTROVSKIY, <i>Plaintiffs,</i> — vs. — MARINE TRANSPORT LOGISTICS, INC., ROYAL FINANCE GROUP, INC., CAR EXPRESS & IMPORT INC., ALEKSANDR SOLOVYEV, DIMITRY ALPER, and JOHN DOE CORP., the unidentified Vessel Operating Common Carrier/Ocean Liner, <i>Defendants.</i>	CIVIL ACTION NO. 7110 COMPLAINT JURY TRIAL DEMANDED MANN. M.J.
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Plaintiffs MAVL CAPITAL, INC. ("MAVL"), IAM & AL GROUP INC. ("IAM"), and MAXIM OSTROVSKIY (collectively "Plaintiffs") by their undersigned attorney, Marcus A. Nussbaum, Esq., by and for their complaint against the defendants herein, state as follows:

NATURE OF ACTION

1. This is an action in law for breach of maritime contract, injunctive relief, conversion, and related causes of action under state law, and for violation of the Racketeer Influenced and Corrupt Organizations Act, 18 U.S.C.A. §§ 1961 et seq.

2. As set forth in detail below, Plaintiffs are in the business of purchasing and exporting new and used cars from the United States to Europe.

3. Defendant MARINE TRANSPORT LOGISTICS, INC. ("MTL") is in the business of providing services as an ocean transportation intermediary, and operates as a non-vessel operating common carrier ("NVOCC").

4. MTL arranges for the transport of automobiles overseas for automobile dealerships and personal shippers, and contracted with Plaintiffs to use their services to ship Plaintiffs' automobiles from the United States to various ports abroad.

5. MTL also provides financing for automobile dealerships and personal shippers who wish to purchase automobiles for shipment to various ports abroad.

6. Defendant CAR EXPRESS & IMPORT INC. ("Car Express") is an automobile dealer which is licensed for the purposes of purchasing automobiles at auction.

7. Car Express is also the agent of MTL, and acts on behalf of MTL in coordinating with automobile dealerships and personal shippers who wish to purchase automobiles for shipment to various ports abroad.

8. Car Express, as agent for MTL, arranges for the transport of automobiles overseas for automobile dealerships and personal shippers, who wish to ship their automobiles from the United States to various ports abroad.

9. Defendant ROYAL FINANCE GROUP, INC. ("RFG") issues invoices and collects payments for shipping, delivery charges, commissions, and other fees from automobile dealerships and personal shippers who have used MTL's services, at the direction and request of MTL and its agent.

10. Plaintiffs have been forced to bring the instant lawsuit as a result of defendants' unlawful conversion of automobiles owned by Plaintiffs or Plaintiffs' customers. Plaintiffs seek injunctive relief from this Court in the form of an order compelling the defendants to

immediately release automobiles owned by Plaintiffs and unlawfully held hostage by the defendants. Plaintiffs have further been forced to bring the instant lawsuit in order to recoup for lost profits and lost business suffered by Plaintiffs as a result of the Defendants' fraudulent and illegal activities, which in sum and substance are an attempt to extort additional monies from Plaintiffs, as further set forth in detail below.

THE PARTIES

11. Plaintiff MAVL CAPITAL, INC. is a New York corporation with its primary place of business at 115 East 57th Street, New York, NY 10022.

12. Plaintiff IAM & AL GROUP INC. is an Indiana corporation with its primary place of business at 100 N Center Street Ste. 131, Mishawaka IN 46544.

13. Plaintiff MAXIM OSTROVSKIY residing at 115 East 57th Street, New York, NY 10022, and is a principal of MAVL and IAM.

14. Defendant MARINE TRANSPORT LOGISTICS, INC. is a New York Corporation with its primary place of business at 63 New Hook Road, Bayonne NJ 07002.

15. Defendant ROYAL FINANCE GROUP, INC. is a Florida Corporation with its primary place of business at 1040 Seminole Drive, Apt. 1460, Fort Lauderdale, FL 33304.

16. Defendant CAR EXPRESS & IMPORT INC. is a New York Corporation with its primary place of business at 333 Avenue X, 2nd Floor, Brooklyn, New York, 11223.

17. Defendant ALEKSANDR SOLOVYEV is an individual with a last known address located at 85 West 5th Street, Apt. 2E, Brooklyn, New York, 11224.

18. Upon information and belief, defendant Solovyev is the principal of MTL and Car Express.

19. Defendant DIMITRY ALPER is an individual with a last known business address located at 63 New Hook Road, Bayonne NJ 07002.

20. Defendant JOHN DOE CORP. is the unidentified Vessel Operating Common Carrier/Ocean Liner via which the defendants transported Plaintiffs' automobiles and property overseas.

21. Upon information and belief, MTL is a family owned business run by the individual defendants.

22. Upon information and belief, Car Express is a family owned business run by the individual defendants.

23. Upon information and belief, defendants Alper and Solovyev are related to one another by blood or marriage.

24. Upon information and belief, defendant Alper is the director of operations of MTL.

25. Upon information and belief, the operation and supervision of MTL's, RFG's, and Car Express' day-to-day activities are conducted by defendants Solovyev and Alper.

26. At all relevant times hereinafter mentioned, MTL, RFG, Car Express and the individual defendants were united in interest such that they are one and the same.

27. At all relevant times hereinafter mentioned, MTL, RFG, Car Express and the individual defendants were the alter/egos of each other.

28. At all times hereinafter mentioned, MTL is and was licensed by the Federal Maritime Commission as an ocean freight forwarder and/or a non-vessel operating common carrier ("NVOCC") under license number 018709.

JURISDICTION AND VENUE

29. This Court has subject matter jurisdiction over the claims in this action pursuant to Article III, Section 2, U.S. Constitution and 28 U.S.C. §§ 1331 and 1333 as this matter relates to contracts for carriage of goods by sea from ports of the United States in foreign trade and thus

comes under the Carriage of Goods by Sea Act ("COGSA"), 46 U.S.C.S. § 30701, the Shipping act of 1984, 46 U.S.C. § 40101, et. Seq., and the court's original jurisdiction in maritime matters.

30. This Court also has supplemental jurisdiction over strictly state law causes of action pursuant to 28 U.S.C.S. § 1367 as such claims are also related to the claims in this action within such original jurisdiction that they form part of the same case or controversy under Article III of the United States Constitution.

31. This Court has personal jurisdiction over the all of the defendants because they reside in or transact business in this District.

32. Venue is proper in this Court pursuant to 28 U.S.C. § 1391 because a substantial part of the events or omissions giving rise to the claim occurred, or a substantial part of property that is the subject of the action is situated, in this District.

FACTS COMMON TO ALL PARTIES

33. Plaintiffs MAVL, IAM and Ostrovskiy are in the business of exporting new and used cars from the United States to various locations abroad. These automobiles are generally purchased by Plaintiffs either new or used from dealers or at auctions in the United States and are then shipped from the United States overseas via ocean transport in unimodal containers (alternatively referred to as "cargo containers" or "cargo").

34. MTL, as an NVOCC, contracts with its customers as principal, agreeing to transport their goods on a voyage that includes an ocean leg.

35. An NVOCC commonly issues house bills of lading to its customers in its own name, even though it does not operate the ship that will carry the goods on the ocean voyage.

36. The NVOCC buys space on the carrying ship like any other customer, receiving a bill of lading from the owner or charterer of that ship when the goods are loaded on board.

37. The NVOCC commonly consolidates goods from several different shippers into a

single container, receiving a bill of lading from the ocean carrier in relation to the container as a whole, but nevertheless issues a house bill of lading to each shipper according to Federal Maritime law.

38. An NVOCC is subject to regulation by the Federal Maritime Commission ("FMC").

39. Pursuant to rules and regulations promulgated by the FMC including, without limitation, regulations implementing the Shipping Act of 1984, 46 U.S.C. § 40101, et seq, an NVOCC can only charge a shipper prices disclosed in a published tariff filed with the FMC.

40. An exception exists with regard to NVOCCs that have entered into a negotiated rate arrangements ("NRA") with a shipper, which, if applicable, would allow the NVOCC to charge rates other than those disclosed to the FMC.

41. An NRA is defined as a written and binding arrangement between a shipper and an eligible NVOCC to provide specific transportation service for a stated cargo quantity, from origin to destination, on and after the receipt of the cargo by the carrier or its agent (or the originating carrier in the case of through transportation).

42. MTL never entered into an NRA with Plaintiffs and, consequently, the exception does not apply to the parties herein.

43. Upon information and belief, at all times relevant hereto, a master service agreement (the "Service Agreement") existed between defendants MTL and John Doe Corp.

44. Upon information and belief, pursuant to the Service Agreement between MTL and John Doe Corp., MTL was able to obtain container space for Plaintiffs' cargo aboard vessels outbound from, inter alia, the Port of Elizabeth, New Jersey, on favorable terms.

45. From approximately January of 2013 up through August of 2013, Plaintiffs, via

MTL, shipped containers with automobiles acquired by Plaintiffs on behalf of foreign customers to ports abroad including, without limitation, the Port of Kotka, Finland.

46. During this time period, the automobiles shipped by Plaintiffs were either owned by Plaintiffs or had already been paid for, in whole or in part by Plaintiffs' clients, which placed a contractual obligation on Plaintiffs to ensure that the automobiles were shipped to their final destination and released to Plaintiffs' clients.

47. During this time period, various automobiles shipped by Plaintiffs through MTL were also financed, in part, by MTL and Car Express, both of which directed Plaintiffs to make payment to RFG for MTL's services.

48. During this time period, various automobiles were purchased by Plaintiffs through Car Express, with the agreement that Car Express would fund a portion of the purchase price, and that the automobiles would be shipped exclusively using MTL's services.

49. In all cases, arrangements for the export, shipment and delivery of the aforesaid vehicles were made by Plaintiffs through defendants MTL, Car Express, Solovyev, and Alper in Brooklyn.

50. The automobiles were shipped pursuant to an agreement between Plaintiffs and defendants that Plaintiffs would be charged solely for shipping and delivery of the automobiles, inclusive of all freight and charges (including, but not limited to charges for loading, unloading, paperwork processing, and trucking).

51. The automobiles were also shipped pursuant to an agreement between Plaintiffs and defendants that for any automobiles financed by MTL and Car Express, that Plaintiffs would pay to the defendants a flat fee of 2.5% of the amount financed for the automobile, to be paid at the time that the automobile was delivered to its final destination.

52. At all times mentioned herein, MTL was required by law to create and deliver a Bill of Lading and invoice to Plaintiffs with respect to the Oceangoing and non-Oceangoing transport of Plaintiffs' vehicles and property (the "House Bills of Lading" or "HBOLs").

53. At all times mentioned herein, MTL is also a logistics service company, and provides services including, but not limited to ocean freight, ground transportation, auto shipping, warehousing, tracking and tracing, and containerization.

54. Upon information and belief, MTL prepares and files all export information through the Automated Export System (alternatively referred to as "AES"), which is the electronic means for filing export information and ocean manifest information directly to U.S. Customs.

55. As set forth herein, MTL booked shipments with vessel operating common carriers ("VOCC's") such as John Doe Corp. for transportation by water from U.S. origins to foreign destinations on behalf of their customers, and, upon information and belief, prepared and processed documents in connection with those shipments, represented itself on shipment documents as the forwarding agent, cleared shipments with Customs for export, arranged for inland transportation of shipments to port, and assumed responsibility for payment of ocean freight charges to the VOCCs.

56. Pursuant to U.S. customs export regulations, all export shipments must be declared to the U.S. Census Bureau by filing all export information through the Automated Export System.

57. Pursuant to U.S. customs export regulations, any individual or entity which files export information through AES is required to provide, as part of the filing process: (1) information which identifies the principal party of interest (the person in the U.S. who receives

the primary benefit, monetary or otherwise, of the foreign transaction, known as the "USPPI"); (2) the consignee information (the shipment recipient); (3) a declaration of the value of the goods being shipped; and (4) the ultimate destination of the goods being shipped.

58. Pursuant to U.S. customs export regulations, only a forwarding agent may represent a USPPI in an export transaction, and must obtain a power of attorney or other written authorization in order to act on its behalf.

59. Upon information and belief, in violation of U.S. Customs export regulations and all applicable federal and state law, MTL fraudulently represented itself to be the USPPI for various automobiles shipped from the United States to various locations abroad.

60. Pursuant to the Federal and New York State statutes described below, defendants MTL, Car Express and RFG were required to be duly licensed with state and/or federal agencies which regulate banking in order to finance the purchase of various automobiles as described herein.

61. Defendants MTL, RFG, and Car Express have been involved, and are presently involved, in the practice of making loans and unlawful collection thereof as described herein, in violation of §§ 340, 358, 492, and 499 of the New York State Banking Law, §§ 105, 190.40, 190.42, and 190.45 of the New York State Penal Law, 18 U.S.C. §§ 659-660, 875(d), 892-894, 1957, 1962, 2312-2313, as well as other Federal and State law.

62. In or around August of 2013, as a result of defendants' failure to ship or deliver various automobiles as agreed, Plaintiffs informed MTL and Car Express that they had reached an agreement with other NVOCCs and ocean freight shippers, pursuant to which Plaintiffs would engage the services of other shippers for the export of automobiles overseas.

63. As a result of defendants' failure to ship or deliver various automobiles as agreed,

Plaintiffs notified MTL and Car Express that the business relationship between the parties would be wound down and ultimately discontinued.

64. At the time of notification, Plaintiffs had already placed the vehicles described in detail below into the custody and control of MTL and Car Express for shipment overseas, or for receipt domestically.

65. After MTL and Car Express were notified of Plaintiffs' intention to wind down their business relationship with MTL and Car Express, these defendants unlawfully seized Plaintiffs' automobiles identified herein and have refused to release them to their intended recipients, despite the fact that Plaintiffs have lived up to their contractual obligations and have paid MTL and Car Express in full for all shipping, delivery, and storage charges.

66. After MTL and Car Express were notified of Plaintiffs' intentions to wind down their business relationship with MTL and Car Express, these defendants directed RFG to begin invoicing Plaintiffs for amounts never agreed upon, such as commissions, and in some cases, double billing for vehicles that were financed, but already paid for in full.

67. All Plaintiffs have made demand upon MTL and Car Express for the immediate release of automobiles, which demand was refused by MTL and Car Express.

68. In short, MTL and Car Express are illegally and unlawfully holding Plaintiffs' cargo hostage in exchange for a payment of an unlawful debt conjured up by MTL and Car Express only after Plaintiffs decided to sever their business relationship. The debt has unlawfully been applied as to cargo that is owned by Plaintiffs.

69. It is believed and therefore averred that MTL, Car Express and the individual defendants are criminals who lure customers into a business relationship on purportedly favorable terms. In the course of the relationship, MTL, Car Express and the individual

defendants, as the shippers, exercise dominion and control of the shipment.

70. Generally when MTL, Car Express and the individual defendants notice that the relationship is deteriorating or at some other strategically opportune time, these defendants utilize self-help to orchestrate an extra-judicial seizure of goods and demand a ransom under the threat that the seized goods will be sold off without regard for the value which would cause significant financial damage to its victims.

71. On or about June 30, 2008, the U.S. Customs and Border Protection division of the Department of Homeland Security ("CBP") issued "Informational Pipeline No. 08-012-NWK" (alternatively described herein as the "CBP Notice"), a copy of which is annexed hereto as **Exhibit "A"**.

72. Per the CBP Notice, the Department of Homeland Security implemented new regulations and procedures pertaining to the exportation of used automobiles from the United States, including the following procedures: (1) that all required documentation, including the original certificate of title, a duplicate of the title, and a dock receipt, bill of lading, or Intent to Export form which contains identifying vehicle information, must be presented to the CBP at least 72 hours prior to export; and (2) that the vehicle must be held on dock for a minimum of 72 hours after the carrier terminal accepts the vehicle, and the export documents are presented to the CBP.

73. Pursuant to CBP regulations, MTL and Car Express were required to provide the AES ITN or exemption legend to John Doe Corp. at least 24 hours prior to the exporting ship's arrival at the port where the cargo was loaded.

74. Upon information and belief, MTL and Car Express failed to comply with the CBP and U.S. Customs regulations described herein by creating the bills of lading that contained

false or inaccurate consignee and/or AES information.

75. At all times hereinafter mentioned, John Doe Corp. was aware, and/or should have been aware of the fact that MTL and Car Express had created bills of lading that contained false and/or inaccurate consignee and/or AES information.

76. At all times hereinafter mentioned, John Doe Corp. had a duty to investigate whether the AES information and/or consignee information presented by MTL and Car Express was accurate.

77. As set forth below, Plaintiffs seek an award of damages in an amount sufficient to deter MTL, Car Express, John Doe Corp., and the individual defendants from engaging and violating these Plaintiffs' rights and to deter defendants from performing their scheme to defraud upon anyone else.

THE INDIVIDUAL VEHICLES FROM WHICH THIS ACTION ARISES

The 2006 Mercedes SL65

78. On or about October 31, 2012, plaintiff MAVL shipped a 2006 Mercedes SL65, Vehicle Identification Number ("VIN") ending in 3072 to the United States via a third party shipper. The vehicle was purchased overseas from a non-party to this action. A copy of the arrival notice from the shipper is annexed hereto as **Exhibit "B"**.

79. Upon arrival in the U.S. on or about November 14, 2012, MAVL requested that MTL unload the vehicle from the port in New York and bring it to MTL's warehouse for plaintiff to retrieve it. Upon information and belief, MTL brought the vehicle to its warehouse on or about November 14, 2012.

80. Per the agreement between MAVL and MTL, MAVL agreed to pay a flat fee of \$150.00 per month for storage for the vehicle beginning on January 1, 2013. This agreement was

memorialized in various invoices which MTL would issue to MAVL from time to time, and a copy of MTL's invoice to MAVL for storage of this vehicle from May 4, 2013 to June 5, 2013 is annexed hereto as **Exhibit "C"**.

81. Subsequent thereto, MAVL requested that MTL release the vehicle, and said request was denied without explanation.

82. On or about June 1, 2013, MAVL visited MTL's storage site to obtain possession of the vehicle and MTL refused to offer any explanation as to the whereabouts of the vehicle.

83. To date, MTL continues to refuse to release this vehicle, although its release was demanded by MAVL.

The 2004 Bobcat S205

84. On or about April 15, 2013, plaintiffs MAVL and IAM leased (with option to buy) a 2004 Bobcat S205, VIN ending in 1404. The vehicle was leased from a non-party to this action.

85. Plaintiffs MAVL and IAM then requested that MTL bring it to its warehouse for storage.

86. Subsequent thereto, MAVL and IAM requested that MTL release the vehicle, and said request was denied without explanation.

87. Upon information and belief, MTL and John Doe Corp. illegally shipped this vehicle overseas without plaintiffs' consent, and in violation of CBP rules and regulations prohibiting the shipment of leased vehicles.

88. To date, MTL has failed to release or provide plaintiffs with the whereabouts of this vehicle, although its release was demanded by plaintiffs.

The 2006 Bobcat S250

89. On or about June 14, 2013, plaintiff IAM purchased a 2006 Bobcat S250, VIN ending in 2346. The vehicle was purchased from a non-party to this action.

90. IAM then requested that MTL bring the vehicle to its warehouse for shipment overseas via MTL.

91. Subsequent thereto, MTL failed to deliver the vehicle to its overseas destination.

92. To date, MTL has failed to release the vehicle and has failed to provide IAM with the whereabouts of this vehicle, although its release was demanded by IAM.

The 2010 Bobcat S185

93. On or about April 30, 2013, plaintiff MAVL purchased a 2010 Bobcat S185, VIN ending in 8388 for the price of \$18,850.00 (A copy of the invoice is annexed hereto as **Exhibit "D"**.)

94. This Bobcat was purchased by MAVL pursuant to an agreement with MTL and Solovyev, whereby MAVL was directed by MTL and Solovyev to make payment in the amount of \$850 to seller Bobcat Enterprises and a payment in the amount of \$5000 directly to RFG. (Copies of the wire transfers from MAVL to RFG and Bobcat Enterprises are annexed hereto as **Exhibit "E"**.)

95. Upon information and belief, the outstanding balance due to Bobcat Enterprises for this vehicle was paid in full by RFG.

96. This Bobcat was purchased by MAVL under a further agreement with MTL that it would be shipped overseas via MTL and sold to an overseas customer, at which time the balance financed through MTL would be deducted from the profit realized from its sale overseas, and MAVL would pay a flat fee of 2.5% of the balance financed by MTL at the time of the vehicle's

arrival at its port of destination.

97. MAVL subsequently received an invoice from RFG charging amounts for the full price of the vehicle, delivery, shipping, and a commission (which was never agreed to), a copy of which is annexed hereto as **Exhibit "F"**.

98. Upon information and belief, MTL and John Doe Corp. illegally shipped this vehicle overseas without plaintiffs' consent.

99. To date, MTL has failed to release the vehicle and has failed to provide MAVL with the whereabouts of this vehicle, although its release was demanded by MAVL.

The 2011 Porsche Panamera

100. On or about April 22, 2013, plaintiff IAM purchased a 2011 Porsche Panamera, VIN ending in 7399 from a non-party named "AA Insurance Auto Auctions".

101. This vehicle was purchased by IAM pursuant to an agreement with MTL and Solovyev, whereby IAM was directed by MTL and Solovyev to make payment in the amount of \$5500 to seller AA Insurance Auto Auctions and a payment in the amount of \$10,000 directly to RFG. (Copies of the wire transfers from IAM to RFG and AA Insurance Auto Auctions are annexed hereto as **Exhibit "G"**.)

102. This vehicle was purchased by IAM under a further agreement with MTL that it would be shipped overseas via MTL and sold to an overseas customer, at which time the balance financed through MTL would be deducted from the profit realized from its sale overseas, and IAM would pay a flat fee of 2.5% of the balance financed by MTL at the time of the vehicle's arrival at its port of destination.

103. IAM subsequently received an invoice from RFG charging amounts for the full price of the vehicle, delivery, shipping, and a commission (which was never agreed to), a copy of

which is annexed hereto as **Exhibit "H"**.

104. 112. Upon information and belief, MTL and John Doe Corp. illegally shipped this vehicle overseas without plaintiffs' consent.

105. To date, MTL has failed to release the vehicle and has failed to provide IAM with the whereabouts of this vehicle, although its release was demanded by IAM.

The Hummer Seats

106. On or about July 29, 2013, plaintiff MAVL purchased two replacement seats for a General Motors Hummer from a non-party to this action.

107. MAVL then requested that MTL bring the seats to its warehouse for storage in preparation for shipping them overseas via MTL. A copy of the dock receipt for the seats is annexed hereto as **Exhibit "I"**.

108. Subsequent thereto, upon information and belief, MTL and John Doe Corp. misappropriated the seats.

109. To date, MTL has failed to release the seats and has failed to provide MAVL with the whereabouts of this property, although its release was demanded by MAVL.

The Three Harley Davidson Motorcycles

110. On or about June 7, 2013, plaintiff MAVL purchased a 2004 Harley Davidson FXDXI, VIN ending in 7436 ("Harley #1"). This vehicle was purchased by MAVL via Car Express, which directed MAVL to make payment directly to RFG.

111. MAVL paid RFG in full for Harley #1 at the direction and request of defendant Solovyev. Annexed hereto as **Exhibit "J"** is an email from defendants Solovyev and Car Express acknowledging that Harley #1 was paid for in full.

112. On or about June 11, 2013, plaintiff MAVL purchased a 2007 Harley Davidson

FXD, VIN ending in 1645 ("Harley #2"). This vehicle was purchased by MAVL via Car Express, which directed MAVL to make payment directly to RFG.

113. MAVL paid RFG in full for Harley #2 at the direction and request of defendant Solovyev. Annexed hereto as **Exhibit "K"** is a copy of a wire transfer notice showing a wire transfer from MAVL to RFG for payment for Harley #2.

114. On or about July 8, 2013, plaintiff MAVL purchased a 2000 Harley Davidson XL883, VIN ending in 3838 ("Harley #3"). This vehicle was purchased by MAVL via Car Express, which directed MAVL to make payment directly to RFG.

115. MAVL paid RFG in full for Harley #3 at the direction and request of defendant Solovyev. Annexed hereto as **Exhibit "L"** is a copy of a wire transfer notice showing a wire transfer from MAVL to RFG for payment for Harley #3.

116. After MAVL made payment in full to RFG for all three motorcycles, they were all released to MAVL with their original titles.

117. As a result of MTL's previous failures to deliver plaintiffs' vehicles to their overseas destinations, MAVL retained the services of a freight forwarding company not a party to this action and known as Unitrans-PRA ("Unitrans"), and Harley #'s "1", "2", and "3" were delivered to the Unitrans' storage facility for shipment overseas.

118. On or about September 6, 2013, defendant Alper contacted Unitrans via email and directed Unitrans to refrain from shipping Harley #'s "1", "2", and "3" on the basis that MAVL had attempted to appropriate these motorcycles which were purportedly owned by MTL and Car Express. A copy of the email from Mr. Alper to Unitrans is annexed hereto as **Exhibit "M"**.

119. On or about October 23, 2013, defendant Alper then fraudulently obtained a replacement title for Harley #3 from the State of Georgia, a copy of which is annexed hereto as

Exhibit "N".

120. On or about November 8, 2013, defendant Alper contacted Unitrans and advised that he had obtained title to Harley #3 so that Unitrans would release Harley #3 back into the custody and control of MTL. A copy of defendant Alper's email is annexed hereto as **Exhibit "O"**.

121. Alper's act in obtaining title to Harley #3 was fraudulent on the basis that he was aware that MAVL possessed an original title, and he made misrepresentations to the State of Georgia in order to obtain a replacement title.

122. Upon information and belief, the misrepresentations made to the State of Georgia made by Alper in order to obtain title were that the original title was misplaced or destroyed, and that MTL was the lawful owner of Harley #3.

123. To date, MTL, Care Express, Alper, and Solovyev have refused to authorize Unitrans to release Harley #'s "1", "2", and "3" to their proper consignees, despite MAVL's requests to do so.

Attempts by Defendants to Charge Plaintiffs for Shipping Completed by Other Shippers

124. As stated above, by summer of 2013, plaintiffs had lost faith in MTL's ability to ship or deliver various automobiles as agreed. As a result thereof, MAVL retained the services of a freight forwarding company not a party to this action, and known as TRT International ("TRT").

125. On or about May 29, 2013 plaintiff MAVL hired TRT for the export of a 2010 Mercedes Benz GL, VIN # ending in 2062, and on or about July 17, 2013, MAVL hired TRT for the export of a 2012 Mercedes Benz ML, VIN # ending in 8732. Copies of the house bills of lading for these vehicles are annexed hereto as **Exhibit "P"**.

126. Upon information and belief, there is no relationship between TRT and RFG, nor is there any relationship between TRT and MTL.

127. Subsequent thereto, MAVL received invoices from RFG charging MAVL for shipping and delivery for these vehicles, which were not performed by MTL, and further charging MAVL for commissions never agreed to. Copies of the invoices from RFG for these vehicles are annexed hereto as **Exhibit "Q"**.

COUNT I

VIOLATION OF THE SHIPPING ACT OF 1984

128. Plaintiffs incorporate the preceding paragraphs by reference.

129. The defendants, by their acts described herein, have violated the Shipping Act of 1984, as amended, by imposing charges which were never agreed upon and never published with the FMC and by unlawfully seizing Plaintiffs' cargo, holding it as security and/or collateral for the payment of an unjust and unlawful debt.

130. As a direct and proximate result of defendants' unlawful activities, Plaintiffs suffered damages and losses in excess of \$1,000,000.

COUNT II

(BREACH OF FIDUCIARY DUTY)

131. Plaintiffs incorporate by reference the preceding paragraphs of this Complaint as if set forth at length herein.

132. At all times relevant hereto an agency relationship existed between Plaintiffs and Defendants MTL, Car Express, Alper and Solovyev.

133. Pursuant to the agency relationship, defendants MTL, Car Express, Alper and Solovyev owed Plaintiffs a duty of loyalty and a duty of the utmost good faith and fair dealing.

134. By reason of the aforesaid, defendants MTL, Car Express, Alper and Solovyev

breached their fiduciary obligations by, *inter alia*, converting Plaintiffs' assets which were the subject of the agency relationship.

135. The actions of the defendants MTL, Car Express, Alper and Solovyev are willful, wanton and outrageous and justify the award of punitive damages.

136. Defendants MTL, Car Express, Alper and Solovyev are therefore jointly and severally liable for all harm and damages occasioned by the aforesaid unlawful conduct.

COUNT III
(CONVERSION)

137. Plaintiffs incorporate by reference the preceding paragraphs of this Complaint as if set forth at length herein.

138. By reason of the aforesaid, defendants MTL, Car Express, Alper and Solovyev have unlawfully and without justification converted Plaintiffs' property.

139. Plaintiffs have suffered damage as a result of the conduct of defendants MTL, Car Express, Alper and Solovyev.

140. The actions of defendants MTL, Car Express, Alper and Solovyev are willful wanton and outrageous and justify the award of punitive damages.

COUNT IV
(CIVIL CONSPIRACY)

141. Plaintiffs incorporate by reference the preceding paragraphs of this Complaint as if set forth at length herein.

142. By reason of the aforesaid, defendants MTL, RFG, Car Express, and individual defendants Alper and Solovyev - consisting of two or more persons - combined and/or agreed with malicious intent to engage in unlawful overt acts and/or achieve objectives by unlawful means complained of herein to the great harm and detriment to the Plaintiffs.

143. Plaintiffs have suffered damage as a result of defendants' conduct.

144. Defendants' actions are willful wanton and outrageous and justify the award of punitive damages.

COUNT V
(TORTIOUS INTERFERENCE WITH BUSINESS RELATIONS)

145. Plaintiffs incorporate by reference the preceding paragraphs of this Complaint as if set forth at length herein.

146. By reason of the aforesaid, all defendants have intentionally interfered with Plaintiffs' relationships with actual and/or prospective customers and have interfered with Plaintiffs' ability to lawfully market and sell their inventory in an orderly manner.

147. Plaintiffs have suffered damage as a result of defendants' conduct.

148. Defendants' actions are willful wanton and outrageous and justify the award of punitive damages.

COUNT VI
(ACTION TO PIERCE CORPORATE VEIL)

149. Plaintiffs incorporate by reference the preceding paragraphs of this Complaint as if set forth at length herein.

150. Plaintiffs believe and therefore aver that defendants MTL, RFG, Car Express, and individual defendants Alper and Solovyev were active conspirators and participants in a scheme to defraud the plaintiffs. As active conspirators and participants in the conduct complained of herein, the individual defendants are not entitled to the limited liability protections of the corporate form.

151. In addition, plaintiffs believe and therefore aver that defendants have misused the corporate form and disregarded corporate formalities to a degree where the distinction between

the individual and corporate defendants and the distinction between the corporate defendants *inter se* has been rendered meaningless thereby rendering the entities a "sham" for purposes of this action.

COUNT VII
(INJUNCTIVE RELIEF)

152. Plaintiffs incorporate by reference the preceding paragraphs of this Complaint as if set forth at length herein.

153. Plaintiffs seek injunctive relief in the form of an order and/or decree enjoining defendants from exercising unlawful dominion and control over Plaintiffs' goods that are being held hostage and/or in the process of being sold off by the defendants, and an order enjoining defendants from interfering with plaintiffs' relationships with their customers. Plaintiffs specifically seek an order compelling the release of the vehicles and restraining the defendants from withholding the vehicles from their rightful owners.

154. Defendants' conduct threatens immediate and irreparable harm to Plaintiffs' business reputation and goodwill for which no adequate remedy at law exists.

COUNT VIII
PLAINTIFFS v. DEFENDANT MTL
(BREACH OF CONTRACT)

155. Plaintiffs incorporate by reference the preceding paragraphs of this Complaint as if set forth at length herein.

156. By reason of the aforesaid, Defendants MTL and Car Express have breached their contract with Plaintiffs for the shipment of goods via ocean transit.

157. As a direct and proximate cause of the foregoing, Plaintiffs have suffered significant losses in excess of \$1,000,000.00.

COUNT IX
(NY CONSUMER FRAUD ACT -- GEN. BUSINESS LAW § 349)

158. Plaintiffs incorporate by reference the preceding paragraphs of this Complaint as if set forth at length herein.

159. Plaintiffs are consumers and intended beneficiaries of the protections set forth in General Business Law § 349. The purchase of MTL's services was a transaction covered by General Business Law § 349.

160. MTL, Car Express, RFG, and the individual defendants have engaged in deceptive acts and practices as set forth herein, in that said defendants have: (1) unlawfully charged Plaintiffs for services never performed, or charged for amounts never agreed to; (2) attempted to obtain title to property lawfully owned by plaintiffs; and (3) have attempted place plaintiffs into a hopeless position where they would succumb to defendants' unlawful demands for payment under the fear of losing revenues associated with the wrongfully seized cargo.

161. MTL, Car Express, RFG, and the individual defendants engaged in deceptive acts and practices as set forth herein, in that said defendants are now imposing bogus charges which were never agreed upon and never published with the FMC and by unlawfully seizing Plaintiffs' cargo holding it as security and/or collateral for the payment of an unjust and unlawful debt.

162. Plaintiffs reasonably and justifiably relied upon and were deceived by Defendants' promises that the vehicles described herein would be delivered to their final destinations.

163. Based upon the actions of the defendants, plaintiffs are allowed to pierce the corporate veil and hold the individual defendants personally liable for the wrongful acts of the corporate defendants under this cause of action.

164. As a result of the conduct of the defendants that violates General Business Law § 349, plaintiffs have been damaged and suffered compensatory damages, economic loss, lack of

use of the cargo described herein, direct damages, all in an amount to be proven at the time of trial and not less than \$1,000,000.00.

165. As set forth herein, the willful and malicious acts described herein entitle plaintiffs to punitive damages in an amount not less than \$1,000,000.00.

166. Plaintiffs are entitled under General Business Law § 349(h) to recovery from defendants of attorney fees paid in the bringing of this action.

COUNT X
(COMMON LAW FRAUD)

167. Plaintiffs hereby incorporate by reference the allegations set forth above.

168. By reason of the aforesaid, defendants' acts in: (1) unlawfully charging Plaintiffs for services never performed, or charging for amounts never agreed to; (2) attempting to obtain title to property lawfully owned by plaintiffs; and (3) attempting to place plaintiffs into a hopeless position where they would succumb to defendants' unlawful demands for payment under the fear of losing revenues associated with the wrongfully seized cargo, constitutes fraud.

169. As set forth above, from approximately January of 2013 up through August of 2013, Plaintiffs, via MTL, shipped containers with automobiles acquired by Plaintiffs on behalf of foreign customers to ports abroad including, without limitation, the Port of Kotka, Finland.

170. During this time period, the automobiles shipped by Plaintiffs were either owned by Plaintiffs or had already been paid for, in whole or in part by Plaintiffs' clients, which placed a contractual obligation on Plaintiffs to ensure that the automobiles were shipped to their final destination and released to Plaintiffs' clients.

171. The defendants, during the course of negotiations concerning their agreement to ship plaintiffs' vehicles, and during their execution and performance, failed to disclose that in the event that Plaintiffs were to discontinue the business relationship, that they would seize

plaintiffs' cargo, unless plaintiffs agreed to pay brand new excessive charges not previously agreed upon.

172. The defendants, during the course of negotiations concerning the agreements and during their execution and performance, failed to disclose their intent to sell Plaintiffs' cargo to satisfy payment of an unjust and unlawful debt arising out of the invoices issued by RFG at the direction and control of MTL, Car Express, Alper and Solovyev.

173. Accordingly, the sum of at least \$1,000,000.00 together with applicable punitive and treble damages in an amount to be determined by the court, with all interest, attorneys' fees, costs and disbursements incurred in connection with this action, is due to Plaintiffs from the defendants.

COUNT XI

(Violation of the Racketeer Influenced and Corrupt Organizations Act -- 18 U.S.C.A. §§ 1961 et seq.)

171. Plaintiffs hereby incorporate by reference the allegations set forth above.

172. Defendants MTL, Car Express, and RFG, which engaged in the unlawful seizure and detention of Plaintiffs cargo and in the fraud and deceit complained of herein, are enterprises engaged in, and the activities of which, affect interstate and international commerce.

173. The individual defendants that engaged in the unlawful seizure and detention of Plaintiffs' cargo and in the fraud and deceit complained of herein, are persons within the meaning of 18 U.S.C.A. § 1961(3) and as persons employed by and/or associated with MTL, Car Express, and RFG, conducted and participated, directly and indirectly, in the conduct of the affairs of MTL, Car Express, and RFG through a pattern of racketeering activity in violation of 18 U.S.C.A. § 1962(c).

174. The predicate acts which constitute this pattern of racketeering activity are set forth herein.

175. In addition, and upon information and belief, defendant RFG is a front for a money laundering scheme perpetrated by the remaining defendants

176. As set forth herein, defendants have engaged in an ongoing scheme in which they have continued to take this fundamental business model of seizing cargo on the basis of an unlawful debt and have applied it over and over again in an effort to obtain unjust and unlawful compensation.

177. These acts of racketeering, occurring within ten years of one another, constitute a pattern of racketeering activity within the meaning of 18 U.S.C.A. § 1961(5).

178. Plaintiffs have been injured in their business by reason of this violation of 18 U.S.C.A. § 1962, in that, as a direct and proximate result of defendants' complained of acts, plaintiffs have suffered pecuniary damages of at least \$1,000,000.00.

179. By reason of the Defendants' violation of 18 U.S.C.A. § 1962, Plaintiffs are entitled, pursuant to 18 U.S.C.A. § 1964(c), to threefold the damages sustained of at least \$3,000,000.00, with interest thereof, and reasonable attorney's fees in connection herewith.

RELIEF REQUESTED

By reason of the aforesaid, Plaintiffs seeks the following:

- (a) An award of actual damages in excess of \$1,000,000.00 as against Defendants, jointly and severally;
- (b) An award of punitive damages in excess of \$1,000,000.00 as against all Defendants jointly and severally;
- (c) An award of damages in excess of \$1,000,000.00, mandatory attorney's fees and costs under the New York GBL § 349 and the RICO Statute and any other applicable statute;
- (d) Treble damages as available under common law and any other applicable statutes;
- (e) Injunctive relief as needed to maintain the status quo and prevent Defendants from undertaking further unlawful and illegal acts, including but not limited to an

order compelling the release of the vehicles and restraining the defendants from withholding the vehicles from their rightful owners; and

- (f) Such other relief as may be deemed just and equitable.

/s/ MAN

Marcus A. Nussbaum, Esq. (MN 9581)

P.O. Box 7042

New York, NY 10116

Tel: 201-956-7071

Fax: 347-572-0439

Attorney for Plaintiffs

marcus.nussbaum@gmail.com

Dated: December 1, 2013

RESPONDENT MARINE TRANSPORT LOGISTIC INC.’S

APPENDIX “3”

**UNITED STATES DISTRICT COURT
EASTERN DISTRICT OF NEW YORK**

Marcus A. Nussbaum, Esq. (MN 9581)
P.O. Box 7042
New York, NY 10116
Tel: 201-956-7071
Fax: 347-572-0439
Attorney for Plaintiffs
marcus.nussbaum@gmail.com

MAVL CAPITAL, INC., IAM & AL GROUP INC., and MAXIM OSTROVSKIY, <i>Plaintiffs,</i> — vs. — MARINE TRANSPORT LOGISTICS, INC., ROYAL FINANCE GROUP, INC., CAR EXPRESS & IMPORT INC., ALEKSANDR SOLOVYEV, DIMITRY ALPER, and JOHN DOE CORP., the unidentified Vessel Operating Common Carrier/Ocean Liner, <i>Defendants.</i>	CIVIL ACTION NO. _____
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**DECLARATION IN SUPPORT OF ORDER TO SHOW
CAUSE FOR PRELIMINARY INJUNCTIVE RELIEF**

Maxim Ostrovskiy, declares the following to be true under penalties of perjury of the United States of America, and says:

BACKGROUND

1. I am a principal of both plaintiffs herein known as MAVL CAPITAL, INC. ("MAVL"), and IAM & AL GROUP INC. ("IAM"), which are automobile importers/exporters, and as such, I am fully familiar with the facts. I have read the allegations set forth in the

accompanying Complaint for this action, which are incorporated by reference, and I re-attest to the truth of each and every allegation set forth therein.

2. From approximately January of 2013 up through August of 2013, I shipped, via MARINE TRANSPORT LOGISTICS, INC. ("MTL") and CAR EXPRESS & IMPORT INC. ("Car Express"), various containers with automobiles acquired by my companies on behalf of foreign customers to ports abroad including, without limitation, the Port of Kotka, Finland. In addition.

3. In addition, I requested the defendants to: (1) retrieve a vehicle shipped to the U.S. via a third party, so that I could pick it up from defendants' warehouse; and (2) store various vehicles and/or property at their warehouse. The specific details regarding all vehicles from which this action arises are set forth below.

4. During this time period, and with the exception of vehicles that were financed as described below, the automobiles shipped by my companies were either owned by my companies or had already been paid for, in whole or in part by my clients, which placed a contractual obligation on my companies to ensure that the automobiles were shipped to their final destination and released to my clients.

5. During this time period, various automobiles shipped by my companies through MTL were also financed, in part, by MTL and Car Express, both of which directed me to make payment to RFG for MTL's services.

6. During this time period, various automobiles were purchased by my companies through Car Express, with the agreement that Car Express would fund a portion of the purchase price, and that the automobiles would be shipped exclusively using MTL's services.

7. In all cases, arrangements for the export, shipment and delivery of the aforesaid vehicles were made by my companies through defendants MTL, Car Express, Solovyev, and Alper in Brooklyn.

8. The automobiles were shipped pursuant to an agreement between my companies and defendants that my companies would be charged solely for shipping and delivery of the automobiles, inclusive of all freight and charges (including, but not limited to charges for loading, unloading, paperwork processing, and trucking).

9. The automobiles were also shipped pursuant to an agreement between my companies and defendants that for any automobiles financed by MTL and Car Express, that my companies would pay to the defendants a flat fee of 2.5% of the amount financed for the automobile, to be paid at the time that the automobile was delivered to its final destination.

10. Various automobiles were pre-sold to customers who are not parties to the instant lawsuit. Before the events described herein took place, the customers had already pre-paid the purchase prices of their respective vehicles, in advance. These Consignees had purchase contracts for the delivery of their automobiles within a reasonable time after shipping, failing which they would have the right to cancel their purchase contracts, receive a refund of their pre-paid purchase price, and in some cases be entitled to additional money, as a penalty to us for our failure to make timely delivery of the automobiles.

11. In all cases, I had already paid MTL and Car Express for their shipping charges for these automobiles.

DESCRIPTION OF THE PROBLEM

12. As described below, due to defendants failure to ship and/or deliver the automobiles as agreed, and further due to defendants failure to advise as to the whereabouts of

my automobiles and property, I eventually lost faith in defendants' ability to perform as agreed, and I decided to use other shipping companies for the conduct of my business.

13. In or around August of 2013, as a result of defendants' failure to ship or deliver various automobiles as agreed, I informed MTL and Car Express that I had reached an agreement with other NVOCCs and ocean freight shippers, pursuant to which I would engage the services of other shippers for the export of automobiles overseas.

14. At the time of notification, I had already placed the vehicles described in detail below into the custody and control of MTL and Car Express for shipment overseas, or for receipt domestically. After MTL and Car Express were notified of my intention to wind down the business relationship with MTL and Car Express, these defendants unlawfully seized my automobiles identified herein and have refused to release them to their intended recipients, despite the fact that my companies have lived up to their contractual obligations and have paid MTL and Car Express in full for all shipping, delivery, and storage charges.

15. After MTL and Car Express were notified of my intentions to wind down the business relationship with MTL and Car Express, these defendants directed RFG to begin invoicing my companies for amounts never agreed upon, such as commissions, and in some cases, double billing for vehicles that were financed, but already paid for in full.

16. I have made demand upon MTL and Car Express for the immediate release of automobiles, which demand was refused by MTL and Car Express.

THE INDIVIDUAL VEHICLES FROM WHICH THIS ACTION ARISES

The 2006 Mercedes SL65

17. On or about October 31, 2012, plaintiff MAVL shipped a 2006 Mercedes SL65, Vehicle Identification Number ("VIN") ending in 3072 to the United States via a third party

shipper. The vehicle was purchased overseas from a non-party to this action. A copy of the arrival notice from the shipper is annexed to the Complaint as Exhibit "B".

18. Upon arrival in the U.S. on or about November 14, 2012, MAVL requested that MTL unload the vehicle from the port in New York and bring it to MTL's warehouse for plaintiff to retrieve it. Upon information and belief, MTL brought the vehicle to its warehouse on or about November 14, 2012.

19. Per the agreement between MAVL and MTL, MAVL agreed to pay a flat fee of \$150.00 per month for storage for the vehicle beginning on January 1, 2013. This agreement was memorialized in various invoices which MTL would issue to MAVL from time to time, and a copy of MTL's invoice to MAVL for storage of this vehicle from May 4, 2013 to June 5, 2013 is annexed to the Complaint as Exhibit "C".

20. Subsequent thereto, MAVL requested that MTL release the vehicle, and said request was denied without explanation.

21. On or about June 1, 2013, I visited MTL's storage site to obtain possession of the vehicle and MTL refused to offer any explanation as to the whereabouts of the vehicle.

22. To date, MTL continues to refuse to release this vehicle, although its release was demanded by me.

The 2004 Bobcat S205

23. On or about April 15, 2013, MAVL and IAM leased (with option to buy) a 2004 Bobcat S205, VIN ending in 1404. The vehicle was leased from a non-party to this action.

24. MAVL and IAM then requested that MTL bring it to its warehouse for storage.

25. Subsequent thereto, MAVL and IAM requested that MTL release the vehicle, and said request was denied without explanation.

26. Upon information and belief, MTL and John Doe Corp. illegally shipped this vehicle overseas without my consent, and in violation of CBP rules and regulations prohibiting the shipment of leased vehicles.

27. To date, MTL has failed to release or provide me with the whereabouts of this vehicle, although its release was demanded by me.

The 2006 Bobcat S250

28. On or about June 14, 2013, IAM purchased a 2006 Bobcat S250, VIN ending in 2346. The vehicle was purchased from a non-party to this action.

29. IAM then requested that MTL bring the vehicle to its warehouse for shipment overseas via MTL.

30. Subsequent thereto, MTL failed to deliver the vehicle to its overseas destination.

31. To date, MTL has failed to release the vehicle and has failed to provide IAM with the whereabouts of this vehicle, although its release was demanded by IAM.

The 2010 Bobcat S185

32. On or about April 30, 2013, MAVL purchased a 2010 Bobcat S185, VIN ending in 8388 for the price of \$18,850.00 (A copy of the invoice is annexed to the Complaint as Exhibit "D".)

33. This Bobcat was purchased by MAVL pursuant to an agreement with MTL and Solovyev, whereby MAVL was directed by MTL and Solovyev to make payment in the amount of \$850 to seller Bobcat Enterprises and a payment in the amount of \$5000 directly to RFG. (Copies of the wire transfers from MAVL to RFG and Bobcat Enterprises are annexed to the Complaint as Exhibit "E".)

34. Upon information and belief, the outstanding balance due to Bobcat Enterprises

for this vehicle was paid in full by RFG.

35. This Bobcat was purchased by MAVL under a further agreement with MTL that it would be shipped overseas via MTL and sold to an overseas customer, at which time the balance financed through MTL would be deducted from the profit realized from its sale overseas, and MAVL would pay a flat fee of 2.5% of the balance financed by MTL at the time of the vehicle's arrival at its port of destination.

36. MAVL subsequently received an invoice from RFG charging amounts for the full price of the vehicle, delivery, shipping, and a commission (which was never agreed to), a copy of which is annexed to the Complaint as Exhibit "F".

37. Upon information and belief, MTL and John Doe Corp. illegally shipped this vehicle overseas without my consent.

38. To date, MTL has failed to release the vehicle and has failed to provide me with the whereabouts of this vehicle, although its release was demanded by me.

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39. On or about April 22, 2013, IAM purchased a 2011 Porsche Panamera, VIN ending in 7399 from a non-party named "AA Insurance Auto Auctions".

40. This vehicle was purchased by IAM pursuant to an agreement with MTL and Solovyev, whereby IAM was directed by MTL and Solovyev to make payment in the amount of \$5500 to seller AA Insurance Auto Auctions and a payment in the amount of \$10,000 directly to RFG. (Copies of the wire transfers from IAM to RFG and AA Insurance Auto Auctions are annexed to the Complaint as Exhibit "G".)

41. This vehicle was purchased by IAM under a further agreement with MTL that it would be shipped overseas via MTL and sold to an overseas customer, at which time the balance

financed through MTL would be deducted from the profit realized from its sale overseas, and IAM would pay a flat fee of 2.5% of the balance financed by MTL at the time of the vehicle's arrival at its port of destination.

42. IAM subsequently received an invoice from RFG charging amounts for the full price of the vehicle, delivery, shipping, and a commission (which was never agreed to), a copy of which is annexed to the Complaint as Exhibit "H".

43. Upon information and belief, MTL and John Doe Corp. illegally shipped this vehicle overseas without my consent.

44. To date, MTL has failed to release the vehicle and has failed to provide me with the whereabouts of this vehicle, although its release was demanded by me.

The Hummer Seats

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46. MAVL then requested that MTL bring the seats to its warehouse for storage in preparation for shipping them overseas via MTL. A copy of the dock receipt for the seats is annexed to the Complaint as Exhibit "I".

47. Subsequent thereto, upon information and belief, MTL and John Doe Corp. misappropriated the seats.

48. To date, MTL has failed to release the seats and has failed to provide me with the whereabouts of this property, although its release was demanded by me.

The Three Harley Davidson Motorcycles

49. On or about June 7, 2013, MAVL purchased a 2004 Harley Davidson FXDXI, VIN ending in 7436 ("Harley #1"). This vehicle was purchased by MAVL via Car Express,

which directed MAVL to make payment directly to RFG.

50. MAVL paid RFG in full for Harley #1 at the direction and request of defendant Solovyev. Annexed to the Complaint as Exhibit "J" is an email from defendants Solovyev and Car Express acknowledging that Harley #1 was paid for in full.

51. On or about June 11, 2013, MAVL purchased a 2007 Harley Davidson FXD, VIN ending in 1645 ("Harley #2"). This vehicle was purchased by MAVL via Car Express, which directed MAVL to make payment directly to RFG.

52. MAVL paid RFG in full for Harley #2 at the direction and request of defendant Solovyev. Annexed to the Complaint as Exhibit "K" is a copy of a wire transfer notice showing a wire transfer from MAVL to RFG for payment for Harley #2.

53. On or about July 8, 2013, MAVL purchased a 2000 Harley Davidson XL883, VIN ending in 3838 ("Harley #3"). This vehicle was purchased by MAVL via Car Express, which directed MAVL to make payment directly to RFG.

54. MAVL paid RFG in full for Harley #3 at the direction and request of defendant Solovyev. Annexed to the Complaint as Exhibit "L" is a copy of a wire transfer notice showing a wire transfer from MAVL to RFG for payment for Harley #3.

55. After MAVL made payment in full to RFG for all three motorcycles, they were all released to MAVL with their original titles.

56. As a result of MTL's previous failures to deliver my vehicles to their overseas destinations, I retained the services of a freight forwarding company not a party to this action and known as Unitrans-PRA ("Unitrans"), and Harley #'s "1", "2", and "3" were delivered to the Unitrans' storage facility for shipment overseas.

57. On or about September 6, 2013, defendant Alper contacted Unitrans via email and

directed Unitrans to refrain from shipping Harley #'s "1", "2", and "3" on the basis that MAVL had attempted to appropriate these motorcycles which were purportedly owned by MTL and Car Express. This email was forwarded to me by Unitrans, a copy of which is annexed to the Complaint as Exhibit "M".

58. On or about October 23, 2013, defendant Alper then fraudulently obtained a replacement title for Harley #3 from the State of Georgia, a copy of which is annexed to the Complaint as Exhibit "N".

59. On or about November 8, 2013, defendant Alper contacted Unitrans and advised that he had obtained title to Harley #3 so that Unitrans would release Harley #3 back into the custody and control of MTL. A copy of defendant Alper's email, which I received from Unitrans is annexed to the Complaint as Exhibit "O".

60. Alper's act in obtaining title to Harley #3 was fraudulent on the basis that he was aware that I possessed an original title, and he made misrepresentations to the State of Georgia in order to obtain a replacement title.

61. Upon information and belief, the misrepresentations made to the State of Georgia made by Alper in order to obtain title were that the original title was misplaced or destroyed, and that MTL was the lawful owner of Harley #3.

62. To date, MTL, Care Express, Alper, and Solovyev have refused to authorize Unitrans to release Harley #'s "1", "2", and "3" to their proper consignees, despite my requests that the defendants do so.

Attempts by Defendants to Charge Plaintiffs for Shipping Completed by Other Shippers

63. As stated above, by summer of 2013, I had lost faith in MTL's ability to ship or deliver various automobiles as agreed. As a result thereof, MAVL retained the services of a

freight forwarding company not a party to this action, and known as TRT International ("TRT").

64. On or about May 29, 2013 MAVL hired TRT for the export of a 2010 Mercedes Benz GL, VIN # ending in 2062, and on or about July 17, 2013, MAVL hired TRT for the export of a 2012 Mercedes Benz ML, VIN # ending in 8732. Copies of the house bills of lading for these vehicles are annexed to the Complaint as Exhibit "P".

65. Upon information and belief, there is no relationship between TRT and RFG, nor is there any relationship between TRT and MTL.

66. Subsequent thereto, MAVL received invoices from RFG charging MAVL for shipping and delivery for these vehicles, which were not performed by MTL, and further charging MAVL for commissions never agreed to. Copies of the invoices from RFG for these vehicles are annexed to the Complaint as Exhibit "Q".

67. In short, MTL and Car Express are illegally and unlawfully holding my cargo hostage in exchange for a payment of an unlawful debt conjured up by MTL and Car Express only after I decided to sever their business relationship with my companies. The debt has assumedly been unlawfully applied as to cargo that is owned by my companies. Additionally, since I have never been in possession of any of the master bills of lading for these shipments, I cannot obtain release of my automobiles and/or property, nor can my Consignees, without either the express release of MTL and Car Express or a lawful order of this court.

REQUEST FOR IMMEDIATE RELIEF

68. I seek preliminary injunctive relief in the form of an immediate release order from this court. A list of the vehicles is set forth in the Complaint and is described above.

69. Pending that requested preliminary injunction, I am fearful that defendants, and their officers and representatives as well as their overseas storage counterparties will act to

release, sell, auction, and dispose of my vehicles or otherwise disable, destroy or put them out of the reach of my Consignees.

70. Accordingly, I ask this court for an emergency temporary restraining order barring defendants, and their officers and representatives from directing or importuning their overseas storage counter-parties to release, sell, auction, or dispose of my vehicles or otherwise disable, destroy or put them out of the reach of my Consignees.

71. If this court does not act promptly to restrain the defendants from releasing or disposing of my vehicles, they may be lost forever.

72. I am willing to put up a bond to cover monies allegedly owed for storage for the vehicles stored in defendants' warehouse, which defendants assumedly purport to hold as security for any alleged debt.

73. If my automobiles are not released soon, not only will I likely lose all of my sales and the full value of these automobiles, I will also suffer an irreparable injury to my business and reputation and likely not be trusted to ship other vehicles to similarly situated purchasers in the future. No one will trust an auto exporter that cannot be trusted to deliver vehicles as promised.

74. My companies have already experienced a loss of goodwill because of multiple vehicle contracts. We face imminent cancellation of additional vehicle contracts, and possibly the loss of our entire business as a result.

75. It is my belief based on the above and other observations that defendants are running an illegal scheme to extort money from my companies and other non-parties, and that they and their principals and representatives are conspiring to steal and sell the automobiles and property that we own.

76. I ask that this court issue the emergency TRO as requested herein, and schedule a hearing on the requested preliminary injunction as soon as practicable, so that I may expedite the release of my vehicles to my lawful Consignees.

77. No prior request for the same or similar relief has been made to this or any other court. Plaintiffs have no adequate remedy at law.

WHEREFORE, I respectfully request that Plaintiffs' order to show cause be made and granted herein and for other and further relief as to this Court may seem just and proper.

MAXIM OSTROVSKIY

Maxim Ostrovskiy

Sworn to before me this 7th day
of January, 2013.

NOTARY PUBLIC

MARCUS A. NUSSBAUM
Notary Public - State of New York
Reg.# 02NU6219792
Qualified in Kings County
Commission Expires March 29, 2014

RESPONDENT MARINE TRANSPORT LOGISTIC INC.’S

APPENDIX “4”

**UNITED STATES DISTRICT COURT
EASTERN DISTRICT OF NEW YORK**

Marcus A. Nussbaum, Esq. (MN 9581)
P.O. Box 7042
New York, NY 10116
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Fax: 347-572-0439
Attorney for Plaintiffs
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MAVL CAPITAL, INC., IAM & AL GROUP INC., and MAXIM OSTROVSKIY, <i>Plaintiffs,</i> — vs. — MARINE TRANSPORT LOGISTICS, INC., ROYAL FINANCE GROUP, INC., CAR EXPRESS & IMPORT INC., ALEKSANDR SOLOVYEV, DIMITRY ALPER, and JOHN DOE CORP., the unidentified Vessel Operating Common Carrier/Ocean Liner, <i>Defendants.</i>	CIVIL ACTION Docket No.: 1:13-cv-07110-SLT-RLM
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**DECLARATION IN FURTHER SUPPORT OF ORDER TO SHOW
CAUSE FOR PRELIMINARY INJUNCTIVE RELIEF**

Maxim Ostrovskiy, declares the following to be true under penalties of perjury of the United States of America, and says:

BACKGROUND

1. I am a principal of both plaintiffs herein known as MAVL CAPITAL, INC. ("MAVL"), and IAM & AL GROUP INC. ("IAM"), which are automobile importers/exporters, and as such, I am fully familiar with the facts. I have read the statements set forth in the papers submitted in opposition to plaintiffs' instant application for a preliminary injunction, and I

respectfully submit this declaration in reply thereto. For purposes of brevity I incorporate by reference the acronyms used for naming the defendants as set forth in my initial declaration in support ("MTL", "RFG" and "Car Express").

**PLAINTIFFS' REPLY TO DEFENDANTS ALLEGATIONS REGARDING EACH
SPECIFIC VEHICLE**

The 2006 Mercedes SL65 (VIN# Ending in 3072)

2. With regard to this specific vehicle, I agree with defendant Alper's statement that by May 9, 2003, plaintiffs had incurred an unpaid balance of \$900.00 in storage charges, however, I contacted MTL and Mr. Alper multiple times in an effort to pay the balance due for storage and to obtain the release of the vehicle, to no avail.

3. MTL and Alper now admit that this vehicle was sold to satisfy "outstanding debts owed by plaintiffs" as set forth on page "2" of defendants' memorandum of law. Per the attached bill of lading received from MTL's counsel after the start of this litigation, annexed hereto as **Exhibit "A"**, the defendants unlawfully converted this vehicle and shipped it to the United Arab Emirates. As the court may recall, I hired the defendants to receive this vehicle from another shipper that had shipped it from overseas, and I specifically requested that the defendants store it on my behalf. By the terms and conditions of the storage invoice annexed as Exhibit "A" to the Alper Declaration, the defendants were not entitled to exercise a maritime lien for this vehicle as it was for storage only.

4. Furthermore, the defendants have unlawfully sold this vehicle as there was never a bill of lading issued by the defendants for this vehicle at my request (because defendants did not ship it, they only stored it, as proven by the Entry Summary in Exhibit "A" which establishes that this vehicle was owned by MAVL), and thus no basis for defendants to exercise a maritime lien. Defendants have admitted that the \$900.00 due for this vehicle was for storage charges

only. This entirely begs the question as to what basis the defendants had to convert and ship this vehicle, owned by me, to the United Arab Emirates.

5. Upon information and belief, defendants' have further failed to follow all legal prerequisites to selling this vehicle, such as notifying the owner prior to the sale, and the requirement that defendants obtain valid title this vehicle. Defendants have further failed to provide documentation establishing that a sale took place, nor have they come forward with the specific sum realized from the sale of the vehicle.

6. In addition, the exporter and the consignee listed on this bill of lading are unknown parties that have no relationship with the plaintiffs, thus further establishing that the defendants unlawfully converted this vehicle for the purposes of shipping it overseas and selling it for a profit.

7. Therefore, as a result of defendants' unlawful conversion of this vehicle, I am entitled to damages in the amount of \$39,931.81 which should be offset against the total bond amount which this Court orders to be posted at the conclusion of oral argument on the application for the preliminary injunction. The sum of \$39,931.81 includes the sum of \$25,615.00 paid to purchase this vehicle, \$1000 for shipment from the U.S. to Germany for repairs, \$7000.00 expended on repairs of the vehicle in Germany, and \$6316.81 in freight, U.S. customs clearance and other charges for shipment of this vehicle back to the United States¹.

The 2004 Bobcat S205 (VIN# Ending in 1404)

23. With regard to this specific vehicle, the Court is respectfully referred to defendants' bill of lading for this vehicle, annexed to the Alper Declaration as Exhibit "E". Notably, the bill of lading fails to list a consignee and simply states that the vehicle is consigned "TO THE ORDER OF SHIPPER". This is inconsistent with the statements made by Alper and

¹ See **Exhibit "A"**.

Solovyev, *in their declarations and under penalty of perjury*, that plaintiffs requested that MTL and Car Express load this vehicle into a container for shipping with a Consignee designated as "OOO ACCA LOGISTIC" in Saint Petersburg. In addition, OOO ACCA LOGISTIC in Saint Petersburg is owned by defendant Solovyev and his wife, Alla Solovyeva.

24. Therefore, upon information and belief, either the emails referred to by defendants or the bill of lading were fabricated by the defendants after the start of this litigation. At no time, and despite numerous requests, were plaintiffs ever provided with a bill of lading for this vehicle.

25. In addition, the defendants were aware, at all times, that this was a leased vehicle pursuant to a lease between plaintiffs and Lift Incorporated. Defendant Solovyev acquired a copy of the lease in early June of 2013, which had allowed MTL to pick up the vehicle on plaintiffs' behalf, and deliver it to MTL's warehouse, as stated in Solovyev's email of July 11, 2013, a copy of which is annexed hereto as **Exhibit "B"**.

26. The defendants are further aware that it is illegal to export a leased vehicle without the consent of the actual and true owner of that vehicle. Therefore, even if it were possible that I may have inadvertently requested that defendants export this vehicle, as stated in their affidavits, the defendants were under an obligation, pursuant to U.S. Customs and Border Protection rules and regulations, Federal Maritime Law, and state law, to refrain from shipping this vehicle and to inform me that shipment would not be possible.

27. In addition, in order for the defendants to issue a bill of lading which contains a valid export declaration (i.e., the "AES ITN" number) in accordance with U.S. Customs and Border Protection rules and regulations, the defendants were required to obtain an original invoice from MAVL which would established that MAVL sold the vehicle to an overseas

customer. I never provided an invoice for the export of this vehicle, therefore, the AES ITN number listed on defendants' bill of lading ("AES ITN: X20130806042115") was fraudulently created.

28. Furthermore, together with an invoice establishing that MAVL sold this vehicle, the defendants are also required to present U.S. Customs and Border Protection with a purchase invoice from the original owner of the vehicle (in this case, Lift Incorporated) in order to ship this vehicle, and, as set forth above, defendants only had a lease, so in this case, it was defendants' responsibility to refrain from shipping this vehicle.

29. The Court is further respectfully referred to a copy of a cover email from myself to the City of Lancaster Police Department, dated October 7, 2013², which accompanied a police report which I filed as a result of defendants' theft of this vehicle. I copied defendant Solovyev on this email, therefore he was fully aware of the disposition of this vehicle and its illegal shipment overseas prior to perjuring himself before this Court.

30. Therefore, as a result of the foregoing, and as a result of defendants' unlawful conversion of this vehicle, plaintiffs should not be obligated to post a bond for this vehicle and the defendants should be ordered to return it to the United States at their own expense. In addition, plaintiffs request that the Court order defendants to indemnify plaintiffs from any claims for damages asserted by Lift Incorporated, or, in the alternative, that defendants return the vehicle to Lift Incorporated, and that defendants: (1) pay any amounts due and owing to Lift Incorporated; and (2) return plaintiffs' deposit of \$9434.00.

The 2006 Bobcat S250 (VIN# Ending in 2346)

31. With regard to this specific vehicle, the Court is again respectfully referred to defendants' bill of lading for this vehicle, annexed to the Alper Declaration as Exhibit "E".

² Annexed hereto as Exhibit "C".

Notably, the bill of lading fails to list a consignee and simply states that the vehicle is consigned "TO THE ORDER OF SHIPPER". This is inconsistent with the statements made by Alper and Solovyev, in their declarations and under penalty of perjury, that plaintiffs requested that MTL and Car Express load this vehicle into a container for shipping with a Consignee designated as "OOO ACCA LOGISTIC" in Saint Petersburg. In addition, OOO ACCA LOGISTIC in Saint Petersburg is owned by defendant Solovyev and his wife, Alla Solovyeva.

32. Therefore, upon information and belief, either the emails referred to by defendants or the bill of lading were fabricated by the defendants after the start of this litigation. At no time, and despite numerous requests, were plaintiffs ever provided with a bill of lading for this vehicle.

33. Therefore, as a result of the foregoing, and as a result of defendants' failure to provide a bill of lading and an invoice for this vehicle prior to the start of litigation, plaintiffs should be entitled to the release of this vehicle after posting a bond for \$800 in freight charges per Exhibit "F" of the Alper declaration, and should not be responsible for the additional storage charges for this vehicle.

The 2010 Bobcat S185 (VIN# Ending in 8388)

34. With respect to this specific vehicle, the record has established that the value of this vehicle is \$18,850.00.

35. MTL and Alper now admit that this vehicle was sold to satisfy "outstanding debts owed by plaintiffs" as set forth on page "2" of defendants' memorandum of law. My attorney advises me that the defendants have unlawfully sold this vehicle as there was no basis for defendants to exercise a maritime lien.

36. Upon information and belief, defendants' have further failed to follow all legal

prerequisites to selling this vehicle, such as notifying the owner prior to the sale, and the requirement that defendants obtain valid title this vehicle. Defendants have further failed to provide documentation establishing that a sale took place, nor have they come forward with the specific sum realized from the sale of the vehicle.

37. Furthermore, the bill of lading for this vehicle, annexed to the Alper declaration as Exhibit "G" fails to contain the appropriate export declaration information (i.e. the "AES XTN" number, in clear violation of U.S. Customs and Border Protection rules and regulations.

38. Therefore, upon information and belief, the bill of lading was fabricated by the defendants after the start of this litigation. At no time, and despite numerous requests, were plaintiffs ever provided with a bill of lading for this vehicle.

39. As a result of the foregoing, and as a result of defendants' unlawful conversion of this vehicle, plaintiffs should not be obligated to post a bond for this vehicle. In the alternative, plaintiffs request that the amount of \$5,850.00 already paid by plaintiffs for this vehicle be deducted from the total amount of the bond which this Court orders to be posted at the conclusion of oral argument on the application for the preliminary injunction.

The 2011 Porsche Panamera

40. With respect to this specific vehicle, and as alleged in the Complaint, defendants MTL and Solovyev failed to release the vehicle and failed to provide me with the whereabouts of this vehicle, although its release was duly demanded. As set forth in Complaint, this vehicle was purchased by IAM under an agreement with MTL that it would be shipped overseas via MTL and sold to an overseas customer. Specifically, this vehicle was destined for shipment to the port of Kotka, in Finland. This Court is specifically referred to Exhibit "D" to the declaration of defendant Solovyev, which contains an invoice from Royal Finance Group which charges for

"Shipping to Kotka".

41. Defendants now admit, as set forth on page "2" of defendants' memorandum of law, that this vehicle is currently located in Dubai. Per the attached bill of lading received from MTL's counsel after the start of this litigation, annexed hereto as Exhibit "A", the defendants unlawfully converted this vehicle and shipped it to the United Arab Emirates.

42. In addition, the exporter and the consignee listed on this bill of lading are unknown parties that have no relationship with the plaintiffs, thus further establishing that the defendants unlawfully converted this vehicle for the purposes of shipping it overseas and selling it for a profit.

43. Furthermore, based upon the declaration of Dimitry Alper, the financing for this vehicle was arranged between plaintiffs and defendant Royal Finance Group. The Solovyev declaration similarly states that Car Express purchased this vehicle with financing provided by Royal Finance Group, and page "2" of defendants' memorandum of law also explains that the amount due for this vehicle is "owed to Royal Finance Group". In addition, the invoice for this vehicle was issued by Royal Finance Group for "Shipping to Kotka". This is notable as neither Car Express nor Royal Finance Group issued a bill of lading for this vehicle and neither of them are an NVOCC, thus there is no basis for defendants to exercise a maritime lien for this vehicle.

44. This entirely begs the question as to what basis the defendants had to convert and ship this vehicle, owned by me, to the United Arab Emirates.

45. As a result of the foregoing, and as a result of defendants' failure to deliver this vehicle to its proper destination, plaintiffs should not be obligated to post a bond for this vehicle. Furthermore, plaintiffs are entitled to the return of \$15,500.00 paid for this vehicle plus the additional \$2900.00 paid for the parts used for the repair of this vehicle (See **Exhibit "C-1"**)

which should be offset against the total amount of the bond.

The Hummer Seats

46. Plaintiffs consent to posting a bond in the amount of \$1,160.00 for the release of these seats, however, as a result of defendants failure to provide a bill of lading or an invoice prior to the start of litigation, defendants are obligated to indemnify plaintiffs for the \$4775 in storage charges.

The Three Harley Davidson Motorcycles

47. With respect to the three Harley Davidson Motorcycles, the Court is respectfully referred to the email dated November 8, 2013 from defendant Alper to Simon Kaganov of Unitrans-PRA, which was annexed to the Complaint as Exhibit "O", in which Alper states that he has "obtained original title for Motorcycle Harley Davidson vin #133838" and in which he requests to pick up said vehicle. Notably, in paragraph "35" of his Declaration, Alper states that he "did not obtain a replacement title for the 2007 Harley Davidson FXD (VIN # 1645) from the State of Georgia, yet he fails to offer any response as to plaintiffs' allegations that he unlawfully obtained title to the Harley Davidson (VIN #133838).

48. The declarations of Alper and Solovyev further fail to offer any substantive response to plaintiffs' allegations that MTL, Care Express, Alper, and Solovyev have refused to authorize Unitrans to release all three motorcycles to their proper consignees, despite my requests that the defendants do so.

49. In addition, annexed hereto as **Exhibit "D"** is a copy of a power of attorney from defendant Solovyev to a Mr. Oleg Gendelman, in which he authorizes Mr. Gendelman to receive the three motorcycles on his behalf, which is also inconsistent with the statements made in the declarations of Alper, and Solovyev.

50. In sum, the defendants' response on the issue of these three motorcycles do no more than point the proverbial finger at each other, and offer no resolution to plaintiffs' claim.

51. Therefore, in light of defendants' failure to offer a substantive response on the issue of these motorcycles, it is requested that the Court order that they be released by the defendants, and that the defendants be ordered to indemnify plaintiffs for any storage charges accrued for these vehicles.

The 2010 Mercedes GL (VIN# 2062) and 2012 Mercedes ML (VIN # 8732)

52. As stated in the Complaint, by summer of 2013, I had lost faith in MTL's ability to ship or deliver various automobiles as agreed. As a result thereof, MAVL retained the services of a freight forwarding company not a party to this action, and known as TRT International ("TRT").

53. On or about May 29, 2013 MAVL hired TRT for the export of a 2010 Mercedes Benz GL, VIN # ending in 2062, and on or about July 17, 2013, MAVL hired TRT for the export of a 2012 Mercedes Benz ML, VIN # ending in 8732. Copies of the house bills of lading for these vehicles are annexed to the Complaint as Exhibit "P".

54. Upon information and belief, there is no relationship between TRT and RFG, nor is there any relationship between TRT and MTL.

55. In light of defendant Solovyev's response set forth in paragraphs "28 through "31" of his declaration regarding these vehicles, and specifically that Royal Finance Group has never tried to collect on the invoices for these vehicles, it is respectfully requested that the Court declare these invoices are null and void and that plaintiffs be released from liability therefrom.

The 2004 Volvo VNL (VIN#5476)

56. With respect to this vehicle, plaintiffs did not purchase it from the defendants.

After speaking with counsel for the defendants, plaintiffs were advised that the defendants did not issue a bill of lading for this vehicle. Upon information and belief, the invoice for this particular vehicle is fraudulent and MTL simply placed MAVL's name on this invoice. The basis for this belief is as follows:

57. After an investigation, I have ascertained that defendant Solovyev sold this vehicle in Russia. After speaking with the purchaser, I learned that Solovyev is now being sued in Russia by the purchaser due to Solovyev's failure to deliver the vehicle after retaining payment for it. Annexed hereto as **Exhibit "E"** is a copy of various documents which I received from the purchaser, and which include a copy of the contract of sale between Solovyev and the purchaser, as well as a copy of Solovyev's proof of Russian Citizenship which was sent to the purchaser when the purchase took place.³

58. Furthermore, the invoice for this vehicle, annexed to the Alper declaration as Exhibit "L" clearly indicates that the invoice is for inland freight, thus there is no legal basis for the defendants to exercise a maritime lien.

59. In light of the foregoing, MTL is not entitled to include this vehicle in their calculation for the sum to be posted in the bond.

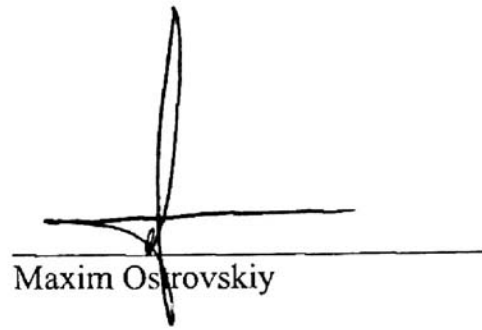
The 2012 Volkswagen Jetta (VIN #8564)

60. The invoice for this vehicle, annexed to the Alper declaration as Exhibit "K" clearly indicates that the invoice is for inland freight, thus there is no legal basis for the defendants to exercise a maritime lien.

61. I declare under penalty of perjury that the foregoing is true and correct.

³ These documents are in Russian and will be translated into English by a certified translator during the course of discovery.

Dated: New York, New York
April 9, 2014



Maxim Ostrovskiy

RESPONDENT MARINE TRANSPORT LOGISTIC INC.’S

APPENDIX “5”

484 So.2d 1370
District Court of Appeal of Florida,
Third District.

H. Allan TUCKER, Appellant,

v.

Chantal FIANSO, Appellee.

No. 85-2474.

|

March 18, 1986.

Client brought malpractice action against attorney for negligent professional advice and services regarding condominium conversion of building. The Circuit Court, Dade County, Mary Ann Mackenzie, J., denied attorney's motion to transfer case to Broward County, and attorney appealed. The District Court of Appeal, Schwartz, C.J., held that cause of action "accrued" where attorney's asserted negligence impacted upon client's economic interests.

Affirmed.

West Headnotes (1)

[1] Venue

Particular Torts

Cause of action for legal malpractice "accrued" for venue, purposes under [West's F.S.A. § 47.011](#), at location where attorney's asserted negligence impacted upon client's economic interests, although wrongful act occurred in another place.

[31 Cases that cite this headnote](#)

Attorneys and Law Firms

*1370 Bunnell, Denman & Woulfe and Melanie G. May and David Keller, Fort Lauderdale, for appellant.

Krongold & Bass and Paul Bass, Coral Gables, for appellee.

*1371 Before SCHWARTZ, C.J., and HENDRY and FERGUSON, JJ.

Opinion

SCHWARTZ, Chief Judge.

The defendant-appellant Tucker is an attorney who practices and resides in Broward County. Based on allegations that he had rendered negligent professional advice and services with respect to the condominium conversion of a building in Dade County owned by his client, Chantal Fianson, she sued him for legal malpractice in the Dade County Circuit Court. He now appeals from the denial of his motion to transfer the case to Broward County, asserted on the ground that the alleged negligence took place there.

On the ground that the cause of action "accrued" under [section 47.011, Florida Statutes \(1985\)](#)¹ in Dade County, where the defendant's asserted negligence impacted upon the plaintiff's economic interests, we affirm the order below. In so holding, we adopt and apply the rule that, for venue purposes,² a tort claim is deemed to have accrued

¹

This section, which controls the present issue, provides:

Actions shall be brought only in the county where the defendant resides, where the cause of action accrued, or where the property in litigation is located. This section shall not apply to actions against nonresidents.

Since the defendant resides in Broward County and no property is "in litigation" within the meaning of the statute, *Coon v. Abner*, 246 So.2d 143 (Fla.1971), venue may be sustained in Dade County only if, as we hold, the cause of action "accrued" here. In this connection, we agree with the defendant that for present purposes-although not in considering the separate question of whether a transfer for convenience under § 47.122 is appropriate, see *Hu v. Crockett*, 426 So.2d 1275, 1279 (Fla. 1st DCA 1983)-it is irrelevant that the *plaintiff* resides in Dade County.

²

The test may or may not be different in the statute of limitations, see *Meehan v. Celotex Corp.*, 466 So.2d 1100 (Fla. 3d DCA 1985), or the conflicts of law context. See *State Farm Mutual Automobile Insurance Co. v. Olsen*, 406 So.2d 1109 (Fla.1981); *Ebell v. Seapac Fisheries, Inc.*, 692 P.2d 956 (Alaska 1984).

where the last event necessary to make the defendant liable for the tort took place. The last event occurred when the harmful force, set in motion by the defendant's negligence, first took effect on the body or the property of the plaintiff. Thus, a claim for tort arose where the harmful force first took effect, or where the plaintiff suffered injury.

Ebell v. Seapac Fisheries, Inc., 692 P.2d 956, 957 (Alaska 1984). In our judgment, this statement of the rule is consistent with and harmonizes the actual holdings of the Florida cases which have dealt with this issue. Thus, as to the inter-county situation in which, as here, a tortfeasor has committed a wrongful act in one place which has taken effect by causing damage in another, it was flatly stated in *Pearson v. Wallace Aviation, Inc.*, 400 So.2d 50, 51 (Fla. 5th DCA 1981), that

[i]n negligence suits, the rule is well established that a cause of action accrues *where the plaintiff suffers his or her injuries*; normally the site of the accident. *Hopkins v. Lockheed Aircraft Corp.*, 201 So.2d 743 (Fla.1967); *Majestic II, Enterprises, Inc. v. Butler*, 372 So.2d 548 (Fla. 3d DCA 1979); *Kilpatrick v. Boynton*, 374 So.2d 557 (Fla. 4th DCA 1979); *Kelly-Springfield Tire Co. v. Moore*, 355 So.2d 451 (Fla. 3d DCA 1978); *Perry Building Systems, Inc. v. Hayes & Bates, Inc.*, 361 So.2d 443 (Fla. 1st DCA 1978); *Walt Disney World Co. v. Leff*, 323 So.2d 602 (Fla. 4th DCA 1975).
[emphasis original]

Similarly, although the court in *Gaboury v. Flagler Hospital, Inc.*, 316 So.2d 642 (Fla. 4th DCA 1975), cited by the appellee, may have expressed the broad doctrine in somewhat different terms,³ the precise determination *1372 was that the malpractice-wrongful death action accrued where the defendant negligently treated the decedent-where, in other words, the negligence first took effect upon her body-even though she died in another county. Moreover, contrary to the defendant's assertion, the rule is not confined to personal injury or property damage cases; it applies equally to those which involve economic or intangible losses alone. E.g., *Soowal v. Marden*, 452 So.2d 625 (Fla. 3d DCA 1984) (trademark infringement); *E.J. Sales & Service, Inc. v. Southeast First National Bank of Miami*, 415 So.2d 906 (Fla. 3d DCA

1982) (conversion); see also *Firstamerica Development Corp. v. Daytona Beach News-Journal Corp.*, 196 So.2d 97 (Fla.1966) (libel action accrues under prior venue statute in each county newspaper circulates, even though it is published elsewhere.)

3 The language cited by the defendant in support of his contention that the county in which the negligence takes place controls, is as follows:

In determining the proper forum in which to bring suit under the general statute fixing venue where the cause of action "arose," or "accrued," the "injury occurred," *et cetera*, the differences are often of importance, but generally within the meaning of statutes of this kind, a cause of action is said to arise at the *place where the act creating the right to bring an action occurred*, and when a tort is complete in a particular county, the cause of action is deemed to have accrued there so as to fix venue, notwithstanding that the plaintiff may have suffered damages, and even his greatest damage, in another county. 56 Am.Jur., Venue, § 34 (1947). [e.o.]

Gaboury, 316 So.2d at 644. In itself, this statement does not resolve the issue of where the "act" which created the right to bring an action may have occurred in any particular case. Thus, even under this formulation, it is clear that the critical "act" is often not the wrongful conduct of the defendant, but its adverse impact upon the plaintiff. See *Soowal v. Marden*, 452 So.2d 625 (Fla. 3d DCA 1984) (citing *Gaboury*; venue for breach of settlement agreement by wrongful use of trademark proper in Broward County where trademark used, even though breach of agreement not to release trademark occurred in Dade County); see also *E.J. Sales & Service, Inc. v. Southeast First National Bank of Miami*, 415 So.2d 906 (Fla. 3d DCA 1982) (quoting *Gaboury*; conversion action accrues in county to which, rather than from which, money is wrongfully transferred).

Even more specifically, the *Ebell* decision, the language of which we have appropriated as a correct expression of the general rule, involved a factual-legal situation identical to the instant case. There, a lawyer negligently gave advice in one district which resulted in the seizure of his client's vessels in another. The Alaska court held, as do we, that venue in the ensuing legal malpractice action was properly laid in the latter district where the economic damage had been done. Accord *Johnson v. Nelson*, 275 N.W.2d 427 (Iowa 1979).

In sum, it is claimed that, while lawyer Tucker negligently shot his arrow into the air of Broward County, it did no harm and had no effect until it fell to earth in Dade. It is therefore here that he must answer for his asserted error.⁴

⁴ We are unimpressed with the parade of horrors invoked by the appellant as to the consequences of a rule under which a tortfeasor may be required to defend an action for consequences his conduct has

caused in an unanticipated area far from his home. Any such complaint may be remedied, if justified, under § 47.122. See *supra* note 1; *Ebell*, 652 P.2d at 958-59.

Affirmed.

All Citations

484 So.2d 1370, 11 Fla. L. Weekly 678

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RESPONDENT MARINE TRANSPORT LOGISTIC INC.’S

APPENDIX “6”

**BEFORE THE
FEDERAL MARITIME COMMISSION**

Case No.: 15-04

CROCUS INVESTMENTS, LLC, a Florida
Limited Liability Company and CROCUS, FZE, a
United Arab Emirates Business Entity

Complainants,

vs.

MARINE TRANSPORT LOGISTICS, INC., a
Corporation
and
ALEKSANDR SOLOVYEV a/k/a ROYAL
FINANCE GROUP INC. an individual.

Respondents



FORMAL COMPLAINT

Crocus Investments, LLC and Crocus, FZE, Complainants herein, file this Formal Complaint against Marine Transport Logistics, Inc. and Aleksandr Solovyev a/k/a Royal Finance Group, Inc., Respondents herein, and allege that Respondents violated the Shipping Act of 1984, specifically 46 U.S.C. § 40901(a) & § 41102(c), and the Regulations Affecting Ocean Shipping in Foreign Commerce, specifically 46 C.F.R. § 520.3 & § 532.5, and in support states the following:

THE COMPLAINANTS

1. Complainant, Crocus Investments, LLC, a Florida Limited Liability Company, (hereinafter "Crocus USA") has a principal place of business in Pembroke Pines, Broward County, Florida.
2. Complainant, Crocus, FZE, a UAE Free Zone Establishment, (hereinafter "Crocus Dubai") has a principal place of business in Dubai, United Arab Emirates.
3. Both Complainants are sister companies, that are in the business of buying used

watercrafts at auctions, refurbishing them and either reselling or leasing the watercrafts to the general public for a profit.

THE RESPONDENTS

4. Respondent, **Aleksandr Solovyev**, is an individual, last known to reside at 85 West 5th Street, Apt. 2E, Brooklyn, New York 11224.
5. **Aleksandr Solovyev** orchestrates a business operation, which includes buying used goods, including watercrafts, from auctions within the United States and shipping the goods overseas to his respective customers. To do this, he uses the three business entities described herein.
6. Upon information and belief, **Aleksandr Solovyev** owns and controls the following business entities:
 - a. **Marine Transport Logistics, Inc.**, a New York Corporation, with its principle place of business at 63 New Hook Road, Bayonne NJ 07002;
 - b. **Royal Finance Group, Inc.**, a Florida Corporation with its principle place of business at 1040 Seminole Drive., Apt. 1460, Fort Lauderdale, FL 33304;
 - c. **Car Express & Import Inc.**, a New York Corporation with its principle place of business at 333 Avenue X, 2nd Floor, Brooklyn, NY 11224.
7. **Marine Transport Logistics, Inc.** (hereinafter “**MTL**”) is a Non-Vassal Operating Common Carrier (NVOCC) licensed by the Federal Maritime Commission under organization number 018709.
8. **MTL** holds itself out as an “international shipping company” and purports to provide transportation overseas of automobiles, watercrafts, and other similar goods via “freight forwarding, air freight forwarding, cargo warehousing, customs clearance cargo

consolidation services, door-to-door delivery, container loading, international auto shipping and multimodal transportation services.”

9. **Car Express & Import Inc.**, (hereinafter “**CEI**”) is a corporation through which **Aleksandr Solovyev** purchases automobiles, watercrafts, and other similar goods from auctions to ship to clients overseas.

10. **Royal Finance Group, Inc.**, is a corporation through which **Aleksandr Solovyev** issues invoices and collects payments for **MTL**’s and **CEI**’s services.

JURISDICTIONAL STATEMENT

11. Federal Maritime Commission (FMC) has subject matter jurisdiction because the claims stated herein arise out of Respondents’ violations of the Shipping Act of 1984, specifically 46 U.S.C. § 40901(a) & § 41102(c) and violations of the Regulations Affecting Ocean Shipping in Foreign Commerce, specifically 46 C.F.R. § 520.3 & § 532.5.

FACTS

12. On or about March 2013, Complainant, Crocus Dubai made an agreement with Respondent Solovyev, for Respondent to buy two boats from the auction. To wit:

- a. 2008 CHAPARRAL 190 SSI
- b. 2011 MONTEREY 204

13. Respondent Solovyev, acting on behalf of MTL, agreed to ship the two boats from MTL’s storage facility in New Jersey to Dubai, UAE.

14. On August 25, 2013, Crocus Dubai wired \$30,000.00 for the purchase and delivery of the two boats to Solovyev’s company Royal Finance Group, LLC.

15. In August 2013, Crocus USA made an agreement with Respondent Solovyev, for Respondent to buy a third boat from the auction. To wit:

a. 2010 FORMULA 34PC

16. Respondent Solovyev, acting on behalf of MTL agreed to ship the third boat from MTL's storage facility in New Jersey to Dubai, UAE.
17. Crocus USA wired \$59,789.00 to Royal Finance Group Inc., for the third boat, which included a delivery fee of \$3,500.00 on August 9, 2013.
18. Crocus USA wired another \$5,000.00 to Royal Finance Group Inc., for a trailer that MTL said was necessary to load the boat into a shipping container on August 13, 2013.
19. On December 3, 2013, Solovyev via Royal Finance Group Inc., issued an invoice to Crocus Dubai for the trailer again and without realizing that its sister company, Crocus USA, had already paid for it in August, Crocus Dubai wired another \$4,950.00 to Royal Finance.
20. In February 2014, when MTL has still not made any shipments of the boats, Complainants contacted MTL, and requested that MTL reroute the shipment of all three boats to Florida, USA.
21. After the request by the Complainants to reroute the delivery of the three boats, Respondents became nonresponsive and all communications from the Respondents suddenly stopped.
22. Then on August 13, 2014, a full year after the last boat was ordered, Solovyev through his company Royal Finance Group, Inc., issued an invoice to Crocus USA for "port fees, customs clearance, delivery, unloading, documentation, tracking, returns empty (sic) back, delivery to the storage lot and storage fees," totaling \$5,500.00.

23. MTL did not have tariffs posted nor did it have a written agreement with the Complainants setting out its fees as required pursuant to 46 C.F.R. §520.3 and 46 C.F.R. §532.1 and 532.5.
24. The boats were never delivered to Complainants and are presumably in MTL's possession.

DAMAGES

25. Complainant lost \$99,739.00 which it paid to Respondents for the boats which MTL never delivered.
26. Complainants suffered loss of use of the three boats which they intended to rent out on an hourly basis to prospective customers. The CHAPARRAL 190 SSI and MONTEREY 204 each rent for approximately \$350.00 per 24 hour period and the FORMULA 34PC rents for approximately \$600.00-\$1,000 per 24 hour period. Annual profit from rentals of the all three boats in 2014 potentially would have exceeded \$297,000.00.
27. Complainants suffered additional financial losses in the amount of \$20,000.00 in connection with refurbishing the boats prior to shipment, storage and other expenses paid by Claimants in anticipation of receiving the boats and renting them out to prospective clients.

VIOLATIONS THE SHIPPING ACT

28. Respondent MTL violated 46 U.S.C. §41102(c) when it failed to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property by unlawfully withholding Complainants' property (boats) and/or committing conversion against the Complainants' property with which it was entrusted.

29. Respondent Solovyev, doing business as Royal Finance Group violated 46 U.S.C. §40901(a) when it presented invoices and collected payment for MTL's transportation services acting in essence as an ocean transportation intermediary without holding a valid license to do so.

REQUEST FOR HEARING

30. A hearing is requested to be held in Washington D.C.

INFORMAL DISPUTE RESOLUTION

31. Complainants attempted to contact Respondents and resolve the issues informally but have been unsuccessful. No mediation or arbitration took place.

WHEREFORE Complainant prays that Respondent be required to answer the charges herein; that after due hearing, an order be made commanding said Respondent (and each of them): to cease and desist from the aforesaid violations of said act(s); to establish and put in force such practices as the Commission determines to be lawful and reasonable; to pay to said complainant by way of reparations for the unlawful conduct hereinabove described the sum of **\$416,739.00**, with interest and attorney's fees or such other sum as the Commission may determine to be proper as an award of reparation; and that such other and further order or orders be made as the Commission determines to be proper in the premises.

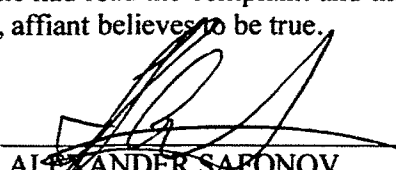
WHEREFORE, SAFONOV ALEXANDER, THE OWNER of CROCUS INVESTMENTS, LLC, a Florida Limited Liability Company and CROCUS, FZE, a United Arab Emirates Business Entity Complainant respectfully requests relief consistent with the Formal Complaint and such other relief which this honorable Court shall deem proper.

Dated: May 27, 2015

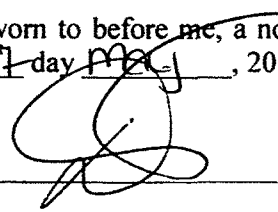
Louiza Tarassova, Esq.
Attorney for Complainant
Florida Bar Number: 96149
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Orlando, FL 32814
Telephone: (407) 622-1885
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VERIFICATION

State of Florida, County of Palm Beach, ALEXANDER SAFONOV being first duly sworn on oath deposes and says that he is the President and Designated Corporate Representative and is the person who signed the foregoing complaint; that he had read the complaint and that the facts stated therein, upon information received from others, affiant believes to be true.


ALEXANDER SAFONOV
11484 Sae Grace Cir.,
Boca Raton, FL 33498

Subscribed and sworn to before me, a notary public in and for the State of Florida, County of Palm Beach this 27 day May, 2015.

[Notary Public] 

Seal _____

My Commission expires 12/10/18.

☐ Personally known

☒ Produced identification

Type of identification pass port.



RESPONDENT MARINE TRANSPORT LOGISTIC INC.’S

APPENDIX “7”

ORIGINAL

FEDERAL MARITIME COMMISSION

2016 JUN -7 PM 4 58

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OFFICE OF THE CLERK
FEDERAL MARITIME COMMISSION

CROCUS INVESTMENTS, LLC AND CROCUS, FZE

v

MARINE TRANSPORT LOGISTICS, INC. AND ALEKSANDR
SOLOVYEV a/k/a ROYAL FINANCE GROUP INC

Docket No 15-04

+ + + + +

FRIDAY, MAY 13, 2016

+ + + + +

The Hearing of the Federal Maritime
Commission convened in the First Floor Hearing
Room, 800 North Capitol Street, N.W., Washington,
D C , pursuant to notice at 2 06 p.m., JUDGE CLAY
G. GUTHRIDGE, presiding

PRESENT:

On behalf of Complainant:

LOUIZA TARASSOVA, ESQUIRE
The Law Office of Louiza Tarassova, P.A.
1420 Lake Baldwin Lane
Orlando, Florida 32814
(407) 622-1885

On behalf of Respondent

STEPHEN H VENGROW, ESQUIRE
ERIC CHANG, ESQUIRE
Cichanowicz Callan Keane Vengrow & Textor, LLP
61 Broadway, Room 3000
New York, New York 10006-2809
(212) 389-5000

ALSO PRESENT (By Phone)

THERESA DIKE, ESQUIRE
Office of Administrative Law Judges
Federal Maritime Commission
800 North Capitol Street, Northwest
Washington, D.C 20573
(202) 523-5050

* * * * *

1 PROCEEDINGS

2 JUDGE GUTHRIDGE This is Crocus
3 Investments, LLC and Crocus, FZE vs. Marine
4 Transport Logistics, Inc and Aleksandr Solovyev
5 also known as Royal Finance Group Inc. It is
6 Federal Maritime Commission Docket Number 15-04.
7 It is May 13, 2016 and it is 2 06 p.m. This is
8 Judge Guthridge presiding Could I have
9 appearances of counsel please

10 MS TARASSOVA: Good afternoon, this is
11 Louiza Tarassova on behalf of the complainant

12 MR. CHANG Good afternoon, Judge
13 Guthridge This is Eric Chang and Stephen H
14 Vengrow on behalf of respondent.

15 MR. VENGROW: Good afternoon, Your
16 Honor.

17 JUDGE GUTHRIDGE: All right Mr.
18 Vengrow, Mr. Chang is one of you lead counsel? If
19 I have a question who do I ask?

20 MR. VENGROW I would suggest, Your
21 Honor, you speak directly to Eric Change.

22 MR CHANG: Yes, Judge

1 course conduct for some period of time, correct?

2 MS. TARASSOVA Yes, Your Honor.

3 Correct

4 JUDGE GUTHRIDGE: Okay. Let me jump
5 before we get into the boats themselves and ask
6 you, Ms Tarassova, about the documents that
7 relate to a Mercedes and Porsche apparently owned
8 by Solovyev that he sent to Dubai I guess to be
9 repaired and sold. What's their relevance to this
10 proceeding?

11 MS TARASSOVA: I think it shows that
12 they had an understanding and it is my
13 understanding from my client's perspective is that
14 during the time that the respondents held the
15 complainants' property while they were deciding
16 what to do with the formula boat whether to ship
17 it to Dubai or whether whatever what is happening
18 while they were holding it the complainants also
19 had Mr Solovyev's property or at least Mr.
20 Solovyev alleged that it was his property. I
21 think that is an issue in dispute in a different
22 case But Mr. Solovyev hadn't requested that he

1 wanted to sell these I think they were salvaged
2 automobiles. They couldn't be sold here in the
3 United States so he sent them over to Dubai to see
4 if the complainants could fix them up and try to
5 see them in Dubai. Then whatever profits they
6 would make they would send back to Mr. Solovyev.
7 They had an ongoing relationship where they were
8 doing favors for the respondents and in turn the
9 respondents held on to the formula boat for over a
10 year

11 JUDGE GUTHRIDGE. What does the
12 automobiles and shipping them to Dubai and being
13 held by Safonov over there what does that have to
14 do with the alleged Shipping Act violations?
15 Because that is the only jurisdiction that the
16 Commission has It has to do with the
17 transportation of cargo by water between the
18 United States and foreign country, in this case
19 Dubai What do these automobiles have to do with
20 the transportation of the boats?

21 MS TARASSOVA: I think it gives us a
22 little background on the party's relationship

1 because I believe the respondents are alleging
2 that they're owed in relation to holding on to
3 property that they were going to ship
4 internationally. This just gives background to
5 the issue that maybe perhaps there was a reason
6 why they didn't initially issue any invoices for
7 storage because they had an incentive not to.

8 JUDGE GUTHRIDGE. What does it have to
9 do with whether or not the respondents, as you
10 allege in your complaint, failed to establish,
11 observe and enforce just and reasonable
12 regulations and practices related to or connected
13 with the receiving, handling, storing or
14 delivering of property, meaning the boats

15 MS TARASSOVA It is just background,
16 Your Honor, I don't think it goes directly to
17 that

18 JUDGE GUTHRIDGE. Okay So now we get
19 to the boats On May 7, 2013 according to
20 Complainants' Appendix 007 Middle East Asia Alpha
21 FZC purchased the boat identified as the 2008
22 Chaparral with a vin number for \$10,505.00